Functional Area #11:
HR in the Global Context

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How Globalization Began

Globalization Time Line	
1984	Apple Macintosh
1990	First Internet page posted
1994	NAFTA
1996	First smartphone
2002	Euro introduced
2003-2005	Growth of tech companies
2008	Great Recession
2012	Shift in foreign direct investment to emerging economies
2016	TPP negotiations
2016	BREXIT vote in U.K.
2018	U.S. tariff “war”
2018	EU General Data Protection Regulation

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Defining Globalization

"The inevitable integration of markets, nation-states and technologies to a degree never witnessed before…"

Thomas L. Friedman

Globalization changes the way we see the world around us and how we interact with all the dynamic forces.

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Connections in a Globalized World

- HR needs to distinguish between large-scale forces and trends and more immediate events and “trendy” phenomena.
- Global forces (political, economic, social, technological, legal, environmental) are and should be seen as interconnected.
- While a given force’s effects are global, their impact on different cultures, industries, and organizations may be unique.

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Forces Shaping Globalization

Shift from Developed to Emerging Economies

Foreign Direct Investment	The Diaspora	Demographic Dichotomy	Reverse Innovation
• Investment of foreign assets into domestic structures, equipment, organizations • Leading indicator of shift and major feature of globalization	• Mass migration from homeland to multiple destinations • Communities of voluntary emigrants bonded by common heritage	• Younger workforce in emerging economies; aging workforce in developed economies • Creates educational, skills dividends and deficits	• Innovations created for or by emerging markets and then imported to developed markets

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Forces Shaping Globalization

Hyperconnectivity

We are all instantly, constantly, globally connected.

Measurability

- Data mining and analytics enable new types of data to be analyzed.
- What gets measured is what gets acted on.

24/7 Global Workplace

- Blurring of public and private lives.
- Achieving work/life balance.
- Data privacy issues.

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Role of Global HR

Help create the organization's global strategy.

Align HR processes and activities with that strategy.

Enhance communication between the organization and its stakeholders.

Ensure that HR can fulfill its role and demonstrate its value.

Adapt to the cultural and legal contexts of each area of the global organization.

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Push and Pull Factors



- Saturated local markets
- Increased cost pressures
- Decreased local access to materials and talent
- Restrictive government policies
- Trade agreements that increase domestic competition
- Globalized supply chain

- Greater strategic control
- Policies promoting outward foreign investment
- Trade agreements that offer protection of intellectual property

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Perlmutter's Headquarters Orientations

Ethnocentric	• Headquarters maintains tight control over subsidiaries. • "One best way."
Polycentric	• Subsidiaries develop strategies consistent with local business practices and cultures. • "Many best ways."
Regiocentric	• Communication and coordination are high within the region but not between regions and headquarters.
Geocentric	• Headquarters and subsidiaries form a network, each contributing specific expertise. • "Team way."

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Strategic Globalization: GI

Global Integration

Key Elements	Advantages
• Consistency of approach • Standardized processes • Common corporate culture across global operations	• Economies of scale • Integrated value chain activities • Serve globally integrated customers • Global branding • Shared organizational capabilities and knowledge • Better quality assurance • Leverage global assets for local competition

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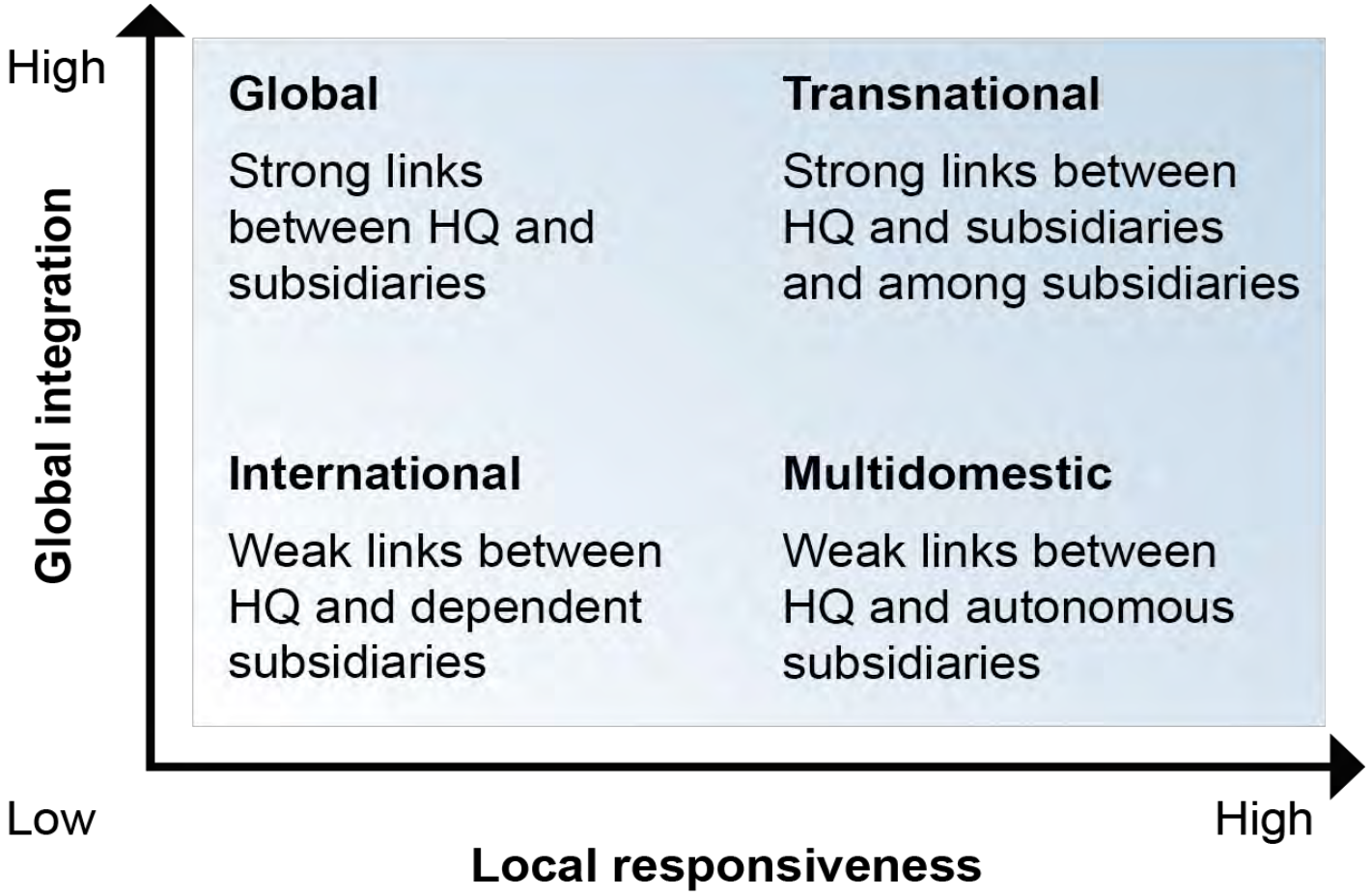
Strategic Globalization: LR

Local Responsiveness

Key Elements	Advantages
• Adapt to needs of local markets • Allow subsidiaries to develop unique products, structures, and systems	• Better respond to local customer needs or specialized local distribution demands • Gain efficiencies from using local substitute products and components, local workforce, local networks • Better/easier compliance with local laws and regulations

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GI-LR Matrix



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GI-LR Matrix

International Strategy

- Low in global integration; low in local responsiveness.
- Foreign divisions in host countries are seen as “appendages” to home country.
- Strategy, research and development, management, and management culture derive from home country.

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GI-LR Matrix

Multidomestic Strategy

- Low in global integration; high in local responsiveness.
- Decentralized portfolio of subsidiaries that operate with fair degree of independence from each other and from headquarters, which remains in home country.
- Knowledge is shared on local rather than global level.

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GI-LR Matrix

Global Strategy

- High in global integration; low in local responsiveness.
- “Hub and spoke” relationship between headquarters and subsidiaries; headquarters integrates operations to take advantage of conditions in subsidiary markets and standardizes products or services.

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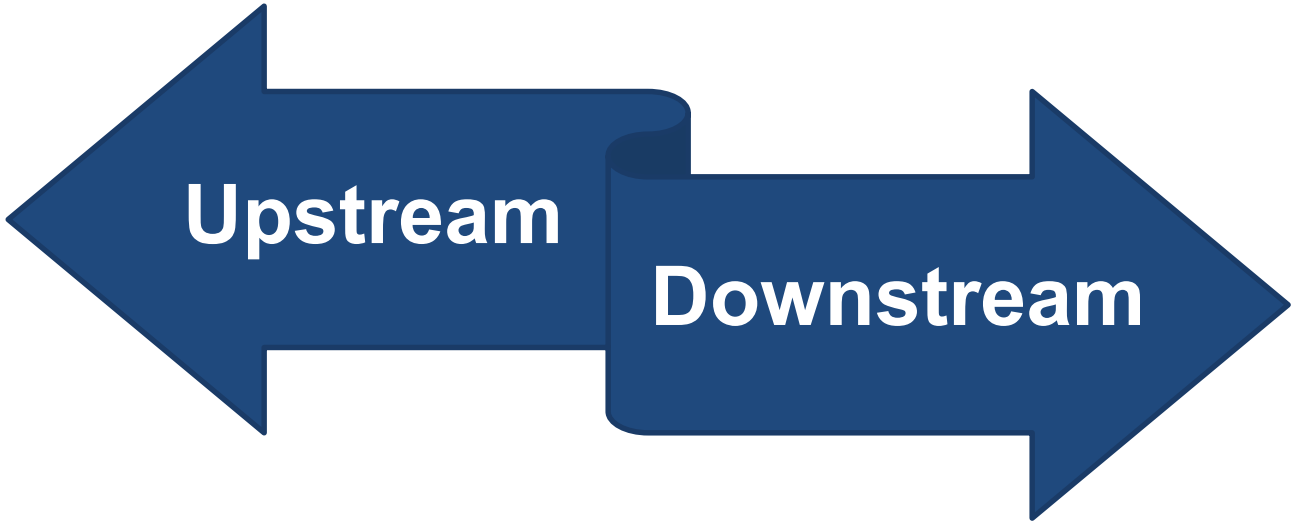
GI-LR Matrix

Transnational Strategy

- High in global integration; high in local responsiveness.
- Locates value chain activities in most advantageous geographic locations.
- Subsidiaries can adapt global products and services to local markets.
- Best practices and knowledge are shared throughout organization.

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Global-Local Models



Upstream decisions made at headquarters:

- Strategy and coordination
- Standardization of processes and integration of resources

Downstream decisions made locally:

- Adapting strategic goals and plans to local realities

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Global-Local Models



- Embraces diversity in management of people, products/services, and branding.
- Product/service offerings and brand identity may be adjusted for local cultures.

Are underlying operations integrated across locations?

- Technology platforms
- Business performance metrics
- HR systems

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Outsourcing

What is it?	• Transfers portions of work (e.g., processes or production) to outside suppliers rather than completing it internally • Contracts out (or subcontracts) activities
Why is it done?	• Reduces costs • Frees up personnel and resources for other activities

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Offshoring

What is it?	• Relocating processes or production to another country (e.g., from developed countries to distant developing countries)
Why is it done?	• Lower costs • Closer proximity to production resources • More favorable economic climate for taxation • Financial incentives • Access to talent • Round-the-clock shifts • “Follow the sun”
What is changing?	• Eroding cost-saving dynamics • Creation of a new middle class in offshoring destinations • Political fallout in developed countries

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Onshoring

What is it?	• Relocation of business processes or production to a lower-cost location inside the same country as the business • Sometimes called “home-shoring” • May include employees working from home
Why is it done?	• Lower operation costs • Benefits of having local employees

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Near-Shoring

What is it?	• Contracting a part of business processes or production to an external company located in a country that is relatively close
Why is it done?	• Similar financial and legal constraints or trade agreements that provide social and economic stability • Shared cultural values and similar mindset • Proximity benefits (e.g., time differences and reduced travel costs)

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HR Due Diligence in Moving Work

Cost and quality	✓ Wage structure ✓ Tax structure	✓ Real estate ✓ Infrastructure
Sociopolitical environment	✓ Government receptivity and regulations ✓ Ethics in politics and business	✓ Quality of life ✓ Accessibility
Risk levels	✓ Political and labor unrest ✓ Natural disasters ✓ IT security ✓ Personal/property security, intellectual property rights	✓ Economic stability (e.g., currency fluctuations) ✓ Regulatory stability
Talent pool	✓ Language and cultural differences ✓ Size of labor force with required skills	✓ Size of offshore sector and share of exports ✓ Availability of qualified vendors for services

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Managing Global Assignments

Strategic-Systematic	Tactical-Reactive
Approach as long-term investments.	Approach as short-term expenses.
Develop executives with global perspectives to create and manage competitive strategies.	Quick-fix approach to short-term foreign operation problem.
Improve coordination among home office and foreign operations.	Randomly and haphazardly perform assignment functions, shifting focus as problems arise.
Disseminate information, technology, and values throughout worldwide organization.	Fail to integrate worldwide organization's values, technology, products, and brand.

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Types of Global Assignments

- **Globalists:** Spend entire career moving from one locale to another
- **Local hires:** Host-country nationals
- **Short-term assignees:** Less than a year but more than a few weeks
- **International assignees:** Traditional expatriates on one- to three-year assignment
- **Commuters:** Travel across country border for work regularly
- **Just-in-time expatriates:** Ad hoc or contract workers hired for single assignment

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Global Assignment Guidelines

- View assignments as a process, not an activity.
- Recognize and consider all dimensions of the assignment experience.
- Conduct thorough and professional assessments of candidates.
- Establish and maintain realistic expectations.
- Provide training.
- Provide appropriate health and safety support.
- Provide well-planned, ongoing training and support.
- Plan, prepare for, and support repatriation.
- Address problems quickly, thoroughly, and responsively.

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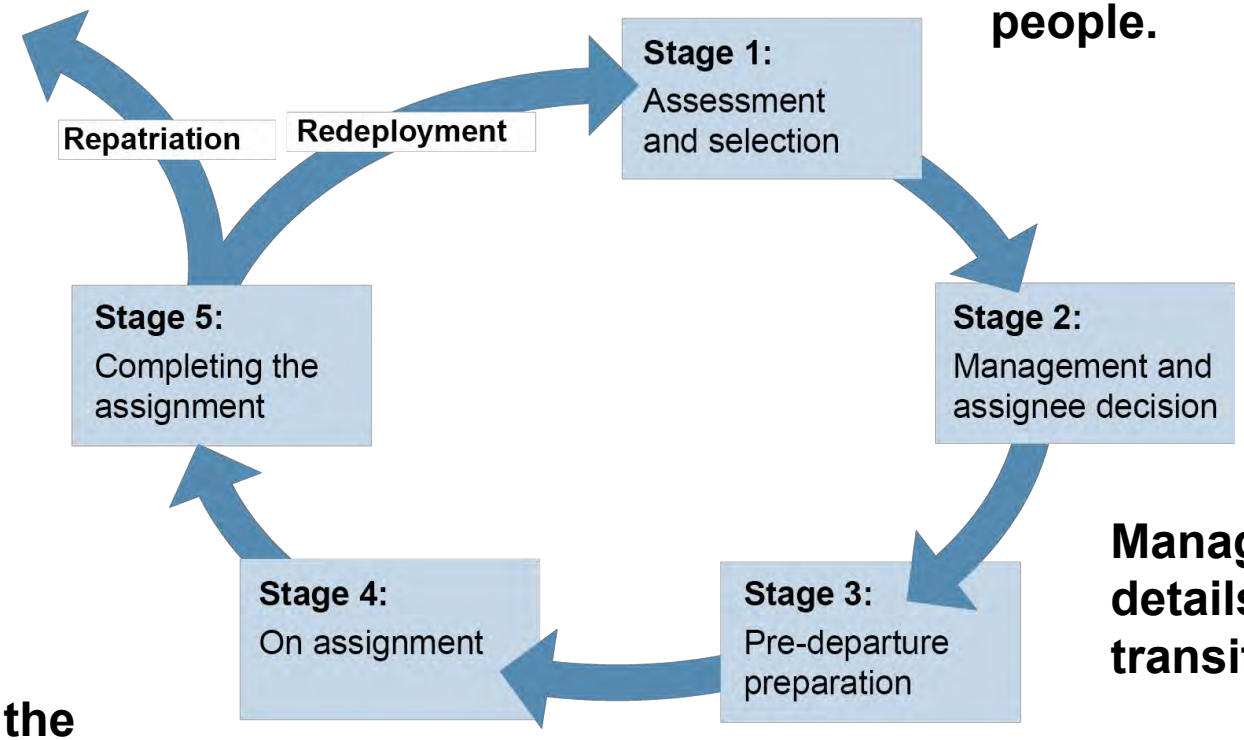
Global Assignment Process

Find the right people.

Manage the details of the transition.

Provide support throughout the assignment.

Engage repatriated employees and access their knowledge.



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Global Assignees: Assessment and Selection

1. Develop the selection criteria.
2. Involve the right people.
3. Choose the best selection methods and tools.
4. Complete the assessment/ make a recommendation.

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Global Assignees: Management and Assignee Decision

Analysis of the costs and benefits of the assignment

Preparation of the assignment plan

Candidate acceptance or rejection of the assignment offer

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Global Assignees: Pre-Departure Preparation

Visas and work permits	Adequate time to obtain the necessary documents and awareness of expiration dates
Security briefings	Briefings about personal and family safety abroad and business aspects of security
Cross-cultural counseling	Counseling before and during the assignment to increase the probability of success

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Global Assignees: On Assignment

Honeymoon
Everything seems new and exciting.

Culture shock
Challenges of living and working abroad become clear.

Adjustment
Understanding host-country norms and patterns and how to get things done.

Mastery
Ability to participate fully and comfortably in the host country.

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Global Assignees: Completing the Assignment

Repatriation

- Involves reintegrating the employee back into the home country
- Includes adjustment to a new job and readjustment to the home culture and conditions

Redeployment

Involves deployment to:

- A different global location
- A new location or new position in the current host country



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Discussion

An HR manager works in South Africa for a U.S.–based company and reports to the owner. The manager has recently had two experiences with the owner that have left the manager puzzled about the next best step.

In the first instance, the owner ordered HR to terminate a local employee who had resisted the owner's marketing ideas. "Just find a reason and fire him," the owner says.

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Discussion

In the second instance, the owner directs HR managers in all overseas operations to roll out a 360-degree assessment program. The owner believes this assessment approach has been very effective in the U.S. and will improve management performance in the company's remote operations.

The HR manager has delayed responding to the owner about these two issues for a couple of days but must act soon.

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Discussion

How should the HR manager advise the owner on the termination issue?

A. Present the issue as a matter of risk management.
B. Review the employee's records to see if there are grounds for termination.
C. Tell the owner that this is not the way disagreements are handled in South Africa.
D. Ask the company's lawyer to speak with the owner and change his mind.

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Feedback

The correct answer is A. This termination action is a risk that could harm the company. The company will probably be violating an employment contract and will be subject to economic penalties. The issue will also tarnish the employer brand in that country. This answer will build HR's credibility and value with the owner and demonstrates the Consultation competency.

B is unethical and a violation of HR's responsibilities to provide sound guidance to the organization's leader.

C is truthful from a cultural perspective but does not address the risk management issues.

D is incorrect. This type of issue is clearly an HR responsibility, and the manager should not try to transfer it to someone else.

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Discussion

How should the HR manager respond to the direction about implementing 360-degree feedback?

A. Say that it's a good idea that is worth trying and learning from.
B. Implement the system but review feedback before forwarding it to the home office.
C. Call the owner to discuss why cultural differences may make implementing this approach difficult.
D. Send a "Reply all" e-mail, explaining the academic grounds for the approach used in South Africa.

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Feedback

C is the correct answer. The HR manager needs to provide honest feedback that could help avoid an action that, at best, would not result in the desired outcome and, at worst, could damage employee engagement. In a high power distance culture, employees are unlikely to provide candid feedback about superiors' performance.

A only protects the HR manager from the owner's reaction. The manager is not providing honest feedback.

B is incorrect. The HR manager would be neglecting responsibility and also committing an ethically questionable act by censoring feedback.

D would help educate the owner about the cultural differences that underlie approaches to performance assessment. However, it is probably a mistake to make this argument with the entire group rather than creating a dialogue with the owner.

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Functional Area #12: Diversity and Inclusion

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Visible and Invisible Traits

Visible Traits

Generally external physical characteristics that are easily recognizable

Examples:
Culture, ethnicity/race, nationality, gender, physical attributes, age, language

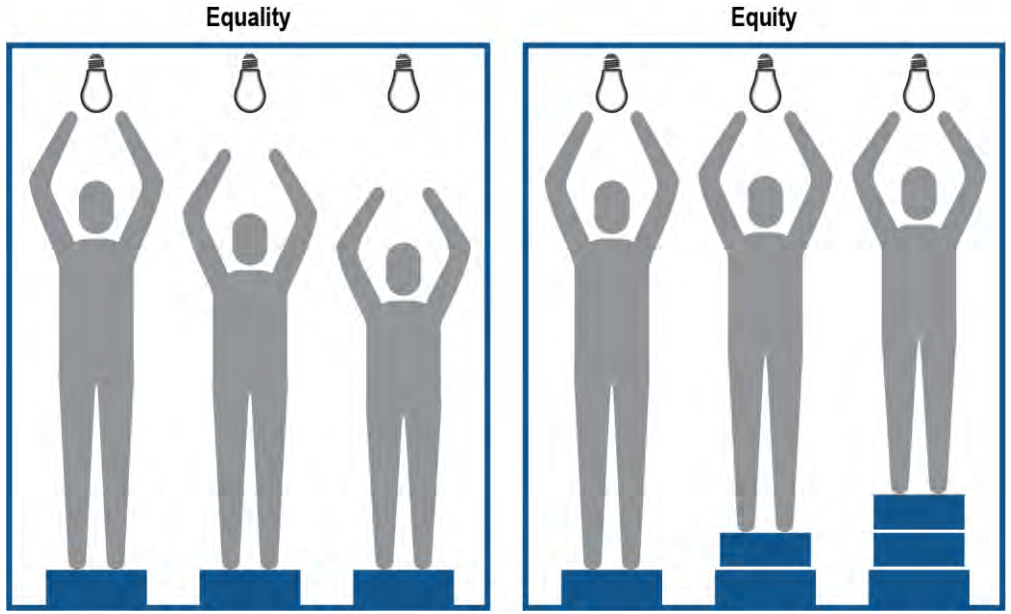
Invisible Traits

Attributes that are not readily seen

Examples:
Perspectives and life experiences, including education, family status, values and beliefs, work styles, socioeconomic status

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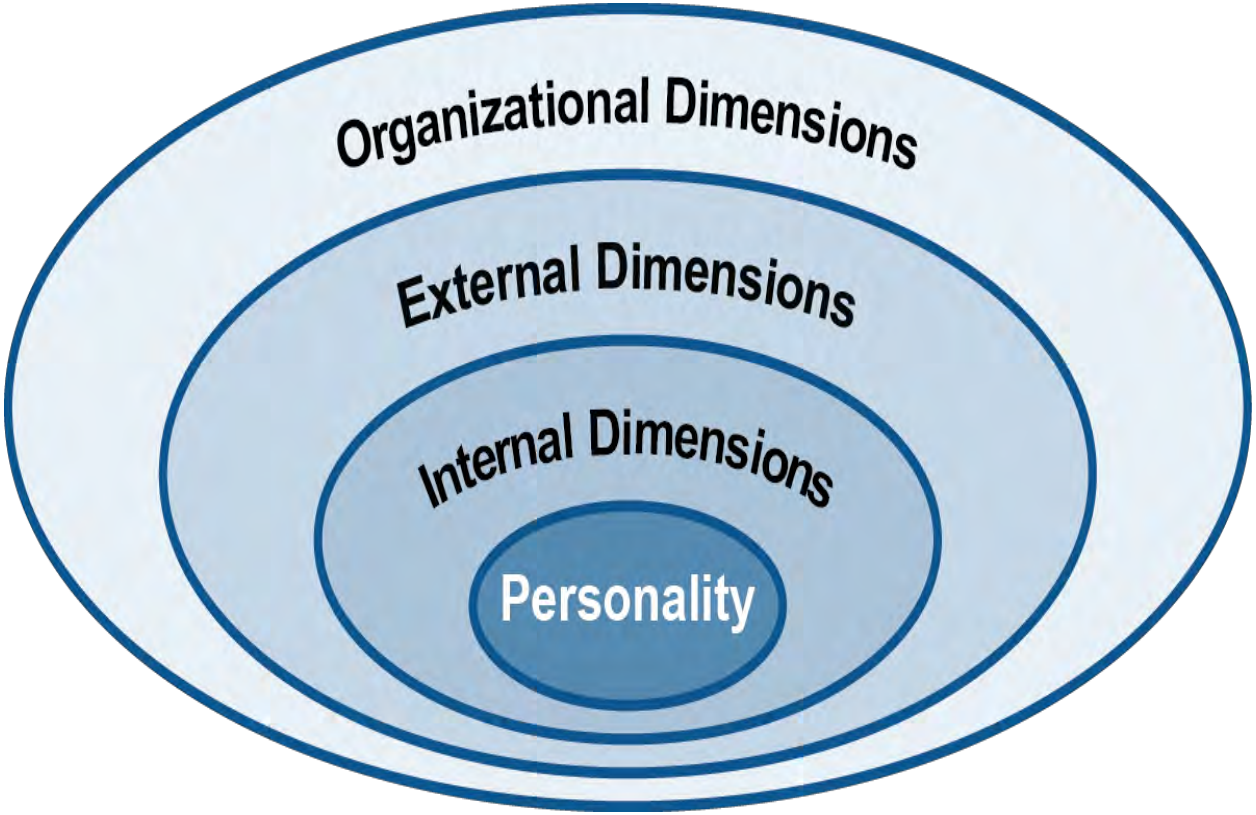
Equality vs. Equity



Equity refers to a focus on promoting fairness and justice via organizational structure, not to be confused with equality, which focuses on providing equal support levels to all employees.

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Four Layers of Diversity



Source: Gardenswartz and Rowe

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Dimension-Specific Issues

Each diversity dimension presents unique issues and challenges.

Diversity Dimensions	
• Personality • Gender • Sexual orientation • Religion • Ethnicity and race • Nationality (culture) • Age	• Physical ability • Family status • Socioeconomic status • Veteran status • Organizational function/level

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Defining Inclusion

Diversity asks: “Who do we bring into our organization?”

Inclusion asks: “How do we make them feel welcome?”

- Inclusion is how you leverage the value of diversity.
- Diversity is the byproduct of effective inclusion.

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Defining "Covering"

Diversity *Without* Inclusion

When an organization promotes assimilation—not inclusion—employees learn to "cover":

- Appearance
- Affiliation
- Advocacy
- Association

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Benefits of Diversity

- Improved creativity and innovation
- Recruitment and retention
- Market strengths
- Branding
- Global integration/local differentiation

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Costs and Challenges of Diversity

- Fragmented, nonproductive, indecisive teams
- Increased costs and time frames: training, recruitment, management
- Communication difficulties
- Blurred branding
- Stereotyping
- Global integration/local differentiation
- Up-front costs for designing diversity strategy/ programs

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Why Does Diversity Falter?

Organizations must truly embrace diversity and integrate varied lifestyles, beliefs, and needs into business culture; no edicts from "on high" will lead to true change.

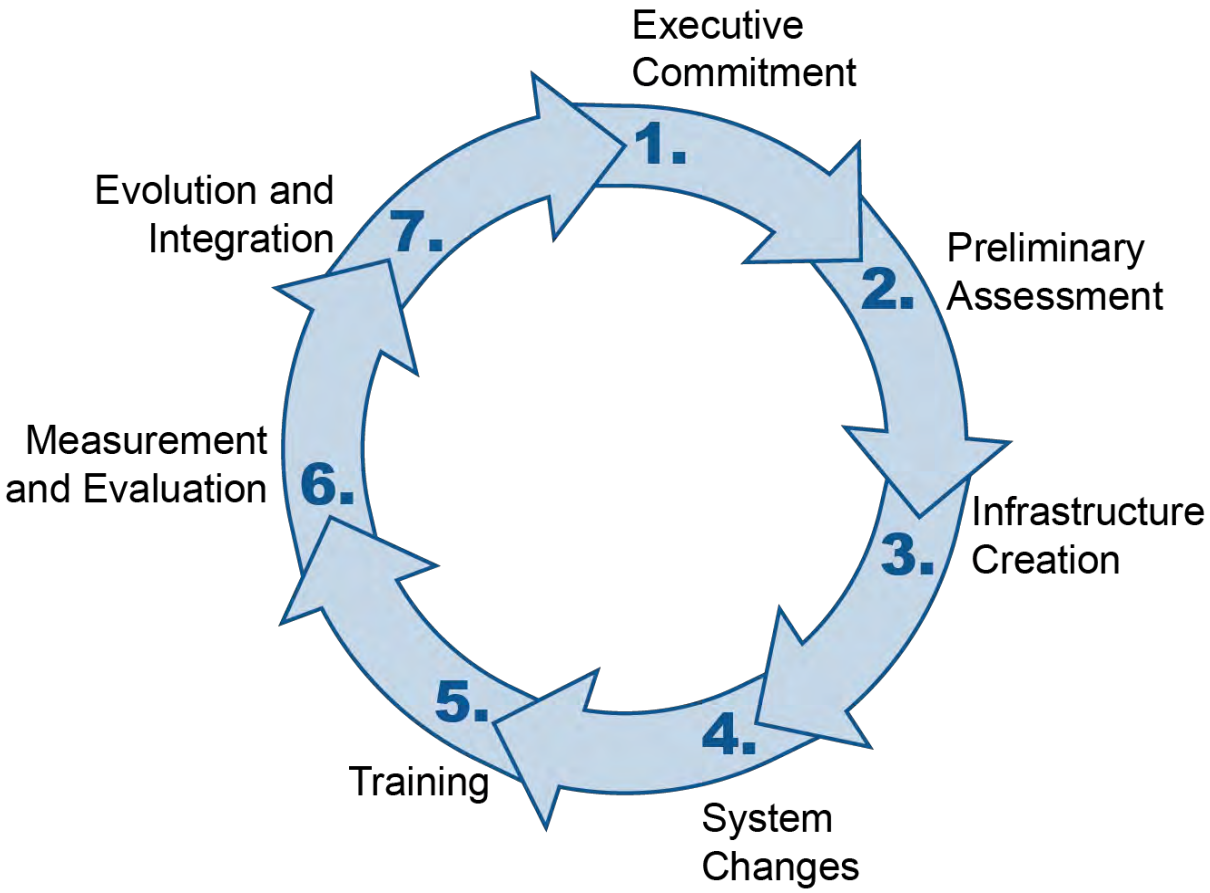
Ways to Increase Diversity

- Voluntary training
- Self-managed teams
- Cross-training
- College recruitment targeting women and minorities
- Mentoring for women and minorities
- Diversity task forces
- Diversity managers

Based on Frank Dobbin and Alexandra Kalev

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D&I Strategic Process



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D&I Strategic Process: Executive Commitment

To make the business case for D&I, you must:

- Show that it can play a critical role in achieving core business goals.
- Link it to your organization's unique mission, vision, and business objectives.
- Realign it over time with corporate strategic reevaluation and repositioning.

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D&I Strategic Process: Preliminary Assessment

Twofold purpose:

1. **Identify current needs** to set corresponding priorities, goals, and objectives.
2. **Provide benchmarks** to measure the success or failure of subsequent D&I strategies.

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D&I Strategic Process: Infrastructure Creation

Diversity Council Key Responsibilities

- Setting goals and priorities
- Ensuring alignment with core business strategies
- Identifying obstacles and opportunities
- Recommending actions
- Monitoring the process
- Collecting data and evaluating results

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D&I Strategic Process: Infrastructure Creation

Criteria for Effective Employee Resource Groups

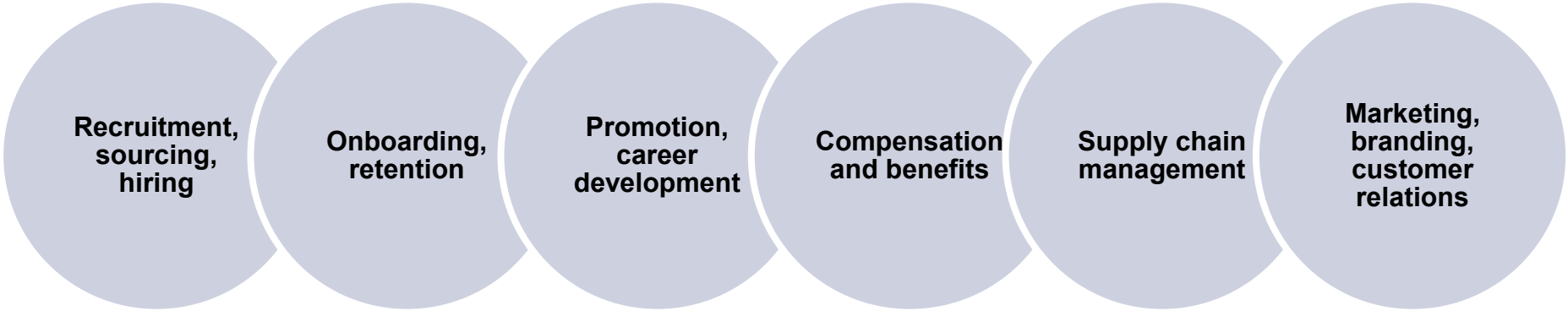
- Whether groups have formal charters
- Percentage of employees in at least one group
- Racial/gender breakdowns of groups
- Percentage of top executives who are sponsors of groups
- Whether groups are used for recruitment, onboarding, talent development, marketing, mentoring, and diversity training
- If the groups' success is measured through retention, engagement, talent development, and other contributions
- If resource group leaders have rotational positions on executive diversity councils

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D&I Strategic Process: System Changes

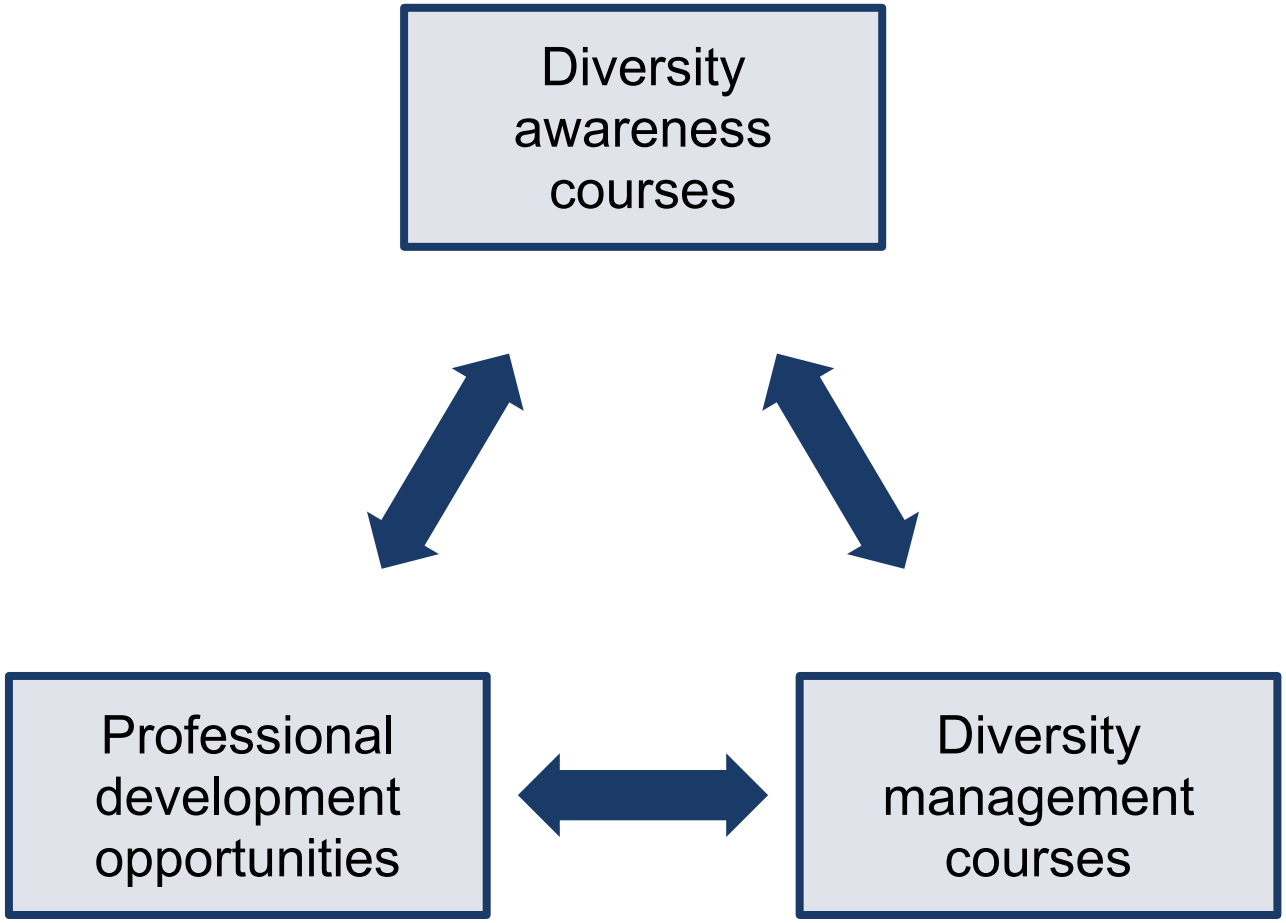
Review and revise to align with diversity goals:

- Organizational systems
- Operational processes, procedures, and practices



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D&I Strategic Process: Training



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D&I Strategic Process: Measurement and Evaluation

Process Measures	Results Measures
• How did we do? • What went well? • What didn't? • Why?	• What difference has it made to the organization?

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D&I Strategic Process: Evolution and Integration

Integration	• Make D&I part of "the way we do business" and "who we are"
Evolution	• Global expansion • Initiative's own success • Shifts in focus over time

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Discussion

A company has been in rapid growth mode for 18 months and shows no signs of slowing down. Although this is good for business, the HR function has had trouble keeping up with the recruiting.

The vice president of HR has received CEO approval for two new HR staff members: one new recruiter and one newly created diversity manager to align with the organization's mission of celebrating diversity and inclusion. The diversity manager will assist the company in improving the culture of diversity inside the office and creating a strong employment brand outside the office.

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Discussion

The newly recruited workforce is made up primarily of Millennials, and more established managers see the Millennials' work habits as "lax." Other related events, the vice president notices, include:

- A request to begin affinity groups at work (e.g., LGBT, women, ethnic groups).
- A discrimination suit filed by a minority worker.
- A request to terminate a disabled employee.

It appears that the recent hiring increase has brought about an increase in intolerance. There are more issues of conflict in the workplace and less feeling of an organizational identity.

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Discussion

What is the first step the diversity manager should do to establish the new role in the organization?

A. Meet with all of the Millennials in the office to determine what their needs are.

B. Schedule a meeting with the executive team to discuss the departmental strategies.

C. Align the departmental plan with the mission of the organization to celebrate diversity and inclusion.

D. Prepare a plan to present to the executive team modeled on a plan used by the diversity manager's former employer.

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Feedback

C is the correct answer. It is imperative that the HR strategy cascade down from the organizational strategy to ensure alignment. This demonstrates Leadership and Navigation, championing HR's role within the organization's mission and vision.

A focuses on one group, the Millennials, and so is not consistent with the manager's broader charge.

B is a plausible action, but this should not be a first step. The diversity manager should first analyze the situation and be prepared to present ideas to the executive team.

D is incorrect because D&I plans cannot be copied from one organization to another.

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Discussion

What is the best action the vice president of HR can take to support the diversity manager in implementing this initiative?

A. Ask the CEO to make a webcast explaining the importance of the diversity initiative.
B. Conduct a culture audit.
C. Advise management to slow hiring while the problem is being addressed.
D. Instruct managers to begin including tolerance of diversity in performance appraisals and promotion decisions.

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Feedback

B is the correct answer. HR must understand fully the nature and scope of the cultural issues before designing a response. This demonstrates use of the Critical Evaluation competency.

A involves leadership voicing its commitment and reasoning, but the first step is to understand the problems.

C is probably unrealistic from a Business Acumen perspective and also fails to apply Leadership and Navigation to the situation.

D is incorrect. Without sufficient attention to changing the organization's culture, this may only make matters worse.

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Functional Area #13: Risk Management

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Risk and Risk Management

Risk	"The effect of uncertainty on objectives" (from ISO 31000)
	Could take the form of threats or opportunities
Risk manage-ment	"Coordinated activities to direct and control an organization with regard to risk"
	Change probabilities or magnitude of impact on objectives

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Categories of Risk

- Known unknowns and unknown unknowns
- Kaplan and Mikes's categories
  - Internal and preventable
  - Strategy
  - External
- Enterprise perspective:
  - Strategy
  - Operations
  - Financial reporting
  - Compliance

Risk categories in the HR context:

- Strategy
- Operations
- Reporting
- Compliance

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Benefits and Barriers

Benefits of Risk Management	Barriers to Risk Management
• Strategic alignment of risk levels and management • More effective response to risk • More consistent response across the organization • Fewer resources wasted • More integrated vision of risk in the organization	• Structural—silo organizational structures • Cognitive—mindset lacking imagination, or one of unreasonable optimism, resistance to change • Cultural—poor alignment of the organization's culture; inadequate communication of the culture's risk approach

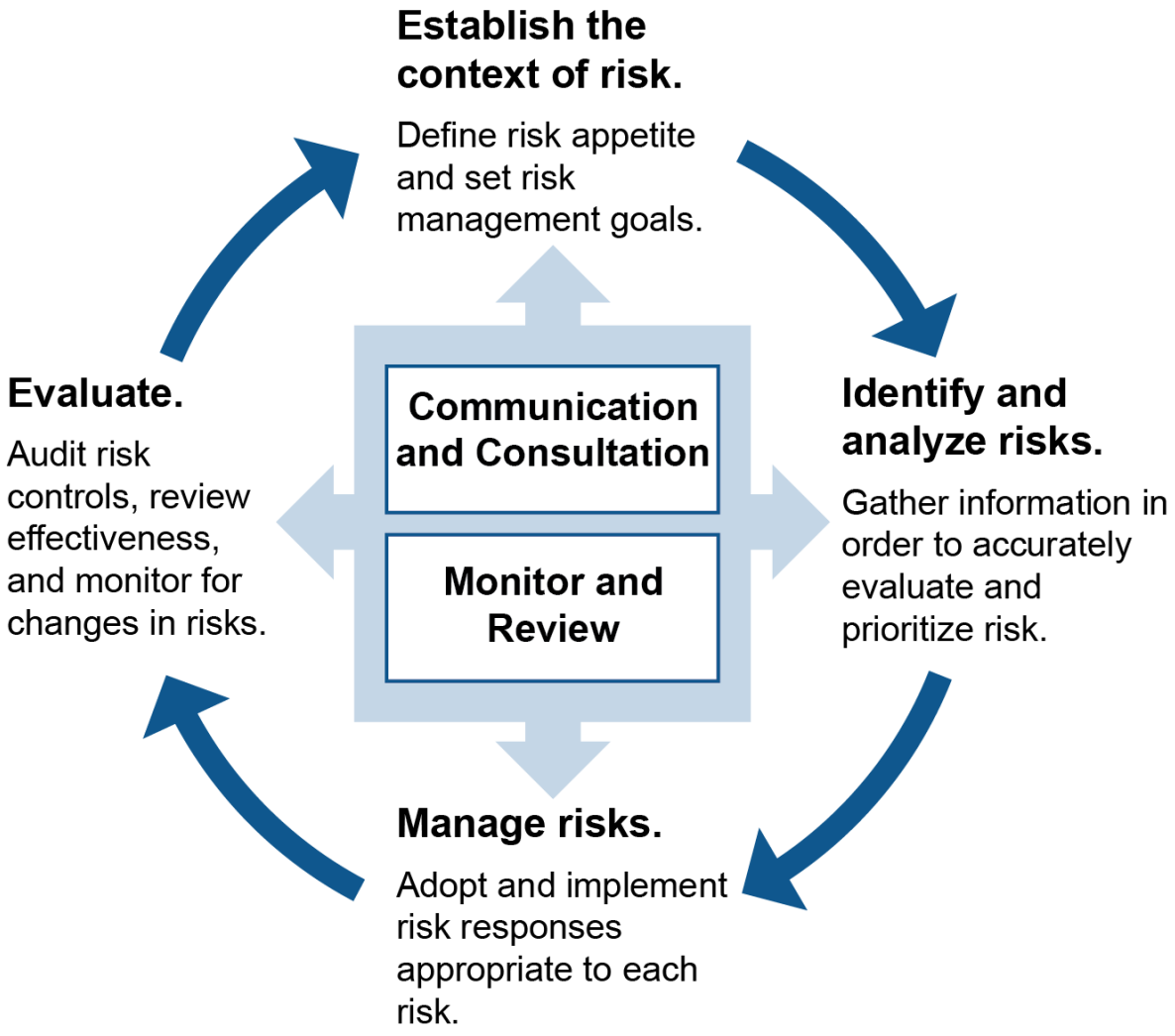
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ISO 31000

- 11 principles—for example:
  - Focused on value and continual improvement
  - Integrated into all processes and decision making
  - Transparency
  - Responsive to change
- Framework
  - Management commitment
  - Policies, processes, ethics, values, leaders' examples, culture
- Risk management process

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Risk Management Process



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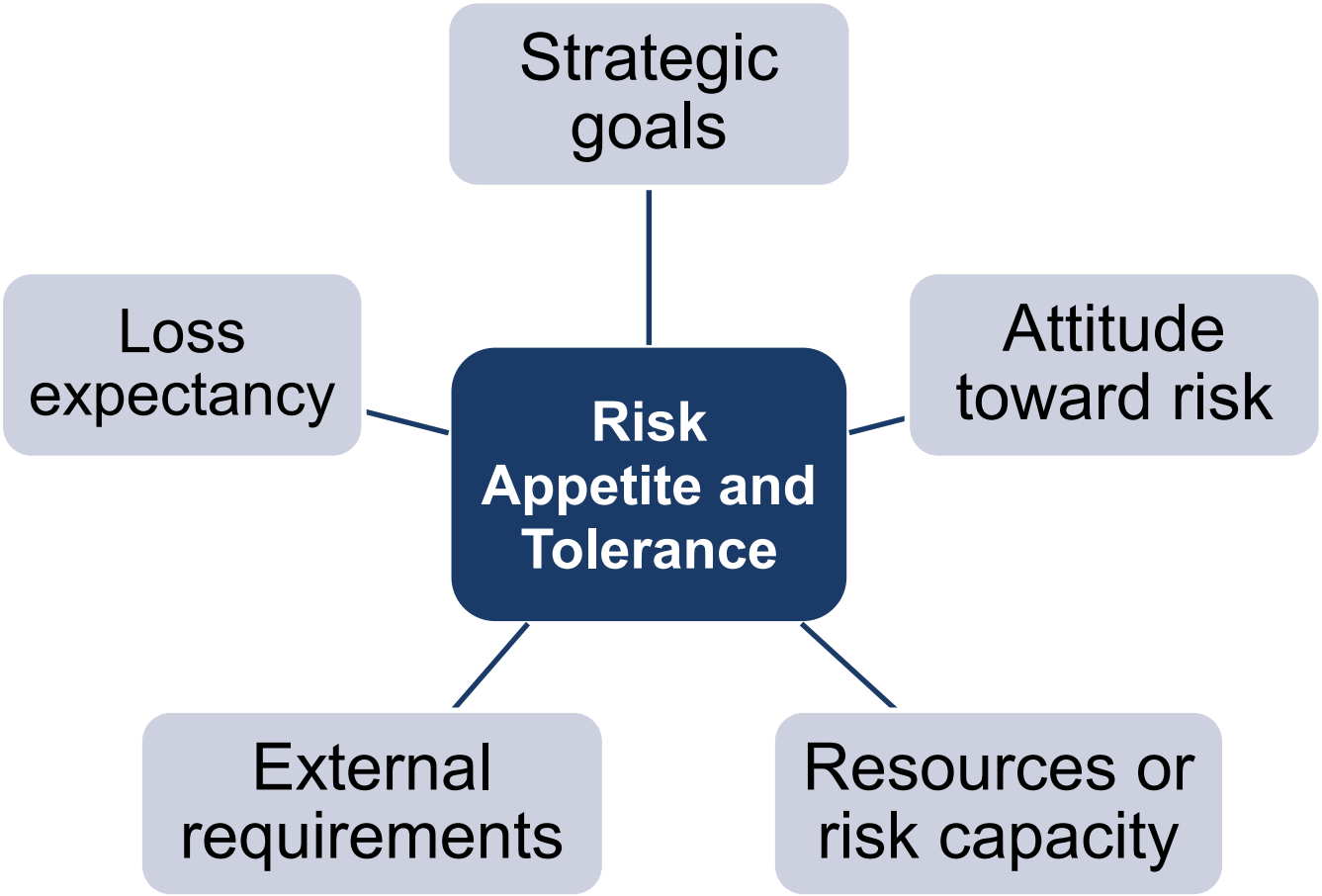
Risk Management

Step 1: Establish the context of risk.

- Know internal and external sources of risk.
- Define risk criteria:
  - Risk position (acceptable gain or loss)
  - Risk appetite and risk tolerance (acceptable amount of uncertainty)

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Strength of Organization's Governance



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Common Misaligned Risks

Moral hazard

- One party engages in risky behavior knowing that another party will incur any resulting loss.

Principal-agent problem

- An agent makes decisions on behalf of a principal but has personal incentives not aligned with those of the principal.

Conflict of interest

- A person or organization has the potential to be influenced by two opposing sets of incentives.

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Risk Management

Step 2: Identify and analyze risks.

Methods:

- Experts and information sources
- Focus groups and interviews
- Surveys
- Process analysis
- Direct observation

Example: Duty of care

Employer's responsibility to take all reasonable steps to ensure the health, safety, and well-being of employees and protect them from foreseeable injury

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Risk Management

Step 2: Identify and analyze risks.

Risk analysis tools

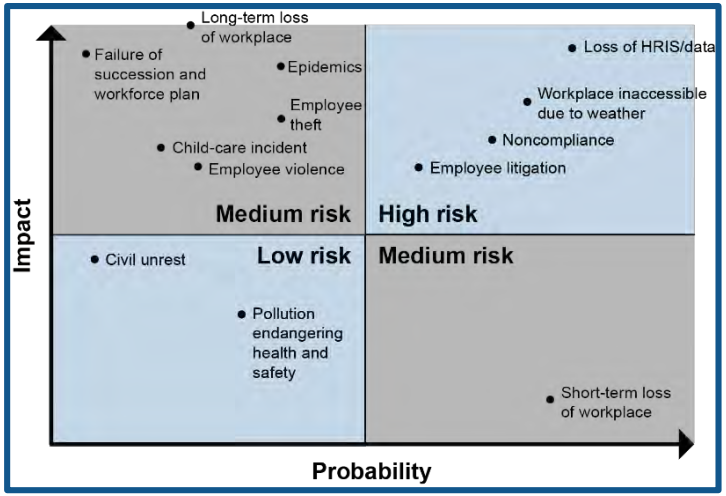
Risk formula

Risk level = Probability of occurrence × Magnitude of impact

Risk scorecard

Event/Threat	A: Event Probability	B: Speed of Onset	C: Existing Mitigation	D: Severity of Impact	Threat Ranking Index
	1=Unlikely 2=Possible 3=Probable	1=Very slow 2=Gradual 3=Sudden	1=Strong 2=Average 3=Weak/none	1=Little 2=Considerable 3=Severe	Multiply ratings for each event/threat (A*B*C*D)
Water supply interruption exceeding 4 hours	1	3	3	2	18
Chemical spills	1	3	2	1	6
Power outage exceeding 4 hours	2	3	2	2	24

Risk matrix

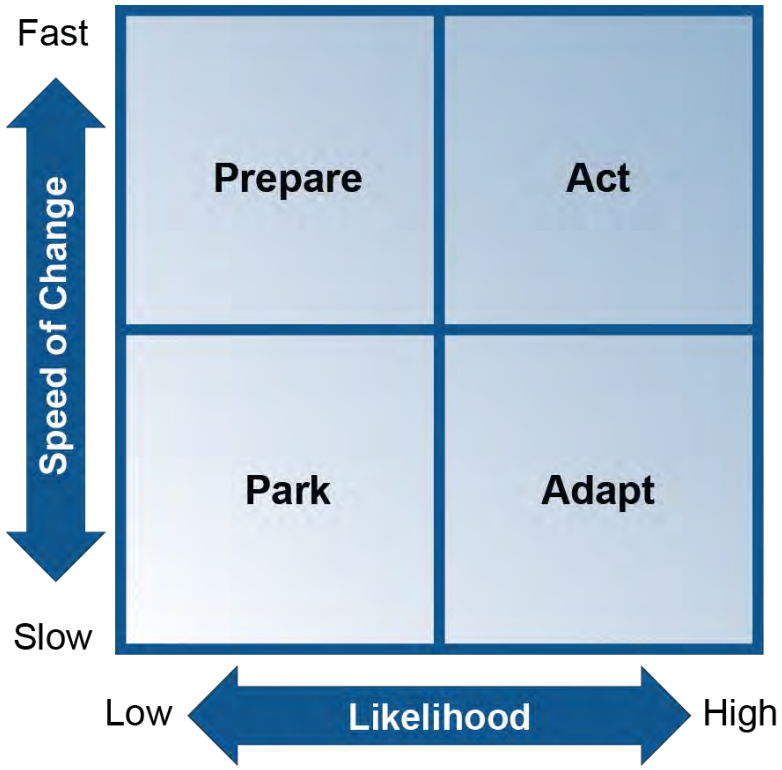


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Step 2: Identify and analyze risks.

Evaluating risks

Prepare, act, park, adapt (PAPA) model



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Risk Management

Step 2: Identify and analyze risks.

Key risk indicators (KRIs): Early signals of increasing risk exposure; critical part of preparedness.

- Strategically aligned.
- Develop KRIs by identifying root causes of risks and intermediate events.
- Monitor for changes in KRIs.

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Risk Management

Step 2: Identify and analyze risks.

Risk register:

- Risk category
- Risk event
- Risk classification
- KRIs
- Risk management controls
- Risk owner(s)
- Reporting requirements

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Risk Management

Step 3: Manage risk.

Upside Risk Management Tactics	Approach	Downside Risk Management Tactics
Optimize	Eliminate uncertainty.	*Avoid*
Share	Redefine ownership.	*Transfer*
Enhance	Increase/decrease effect.	*Mitigate*
Ignore	Take no action.	*Accept*

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Eliminate Uncertainty

Upside Risk Management Tactics	Downside Risk Management Tactics
Optimize	***Avoid***
Uncertainty: Number of applications for an assignment	Uncertainty: Poor hiring decision
Tactic: Include guaranteed income provision.	Tactic: Use careful application screening process.

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Redefine Ownership

Upside Risk Management Tactics	Downside Risk Management Tactics
Share	***Transfer***
Uncertainty: Ability to provide needed workforce during critical period	Uncertainty: Kidnapping of assigned employees
Tactic: Arrange for contingent workers with staffing agency.	Tactic: Obtain kidnapping and ransom insurance.

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Increase/Decrease Effect

Upside Risk Management Tactics	Downside Risk Management Tactics
Enhance	***Mitigate***
Uncertainty: Supervisor impact on employee engagement	Uncertainty: Vulnerability of employees to workplace violence
Tactic: Include communications skills training in supervisory career path.	Tactic: Provide training in identifying and responding to early warning signs.

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Take No Action

Upside Risk Management Tactics	Downside Risk Management Tactics
Ignore	***Accept***
Uncertainty: Vulnerability of workplace to acts of terrorism	Uncertainty: Performance relative to goals
Tactic: Identify as low risk and operate with existing emergency response protocols.	Tactic: Take no further action to produce performance that exceeds goals.

Residual risk: the amount of risk that remains after all management efforts have been exhausted

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Risk Management

Step 3: Manage risk.

Implementing risk management plan

- Define objectives.
  - Be strategically focused.
  - Combine activities and results.
  - Combine lagging and leading metrics.
- Modify risks related to noncompliance.
- Instill risk management principles in organization's members and processes.
- Integrate actions across organization.
- Communicate needs, expectations, and new policies and processes.

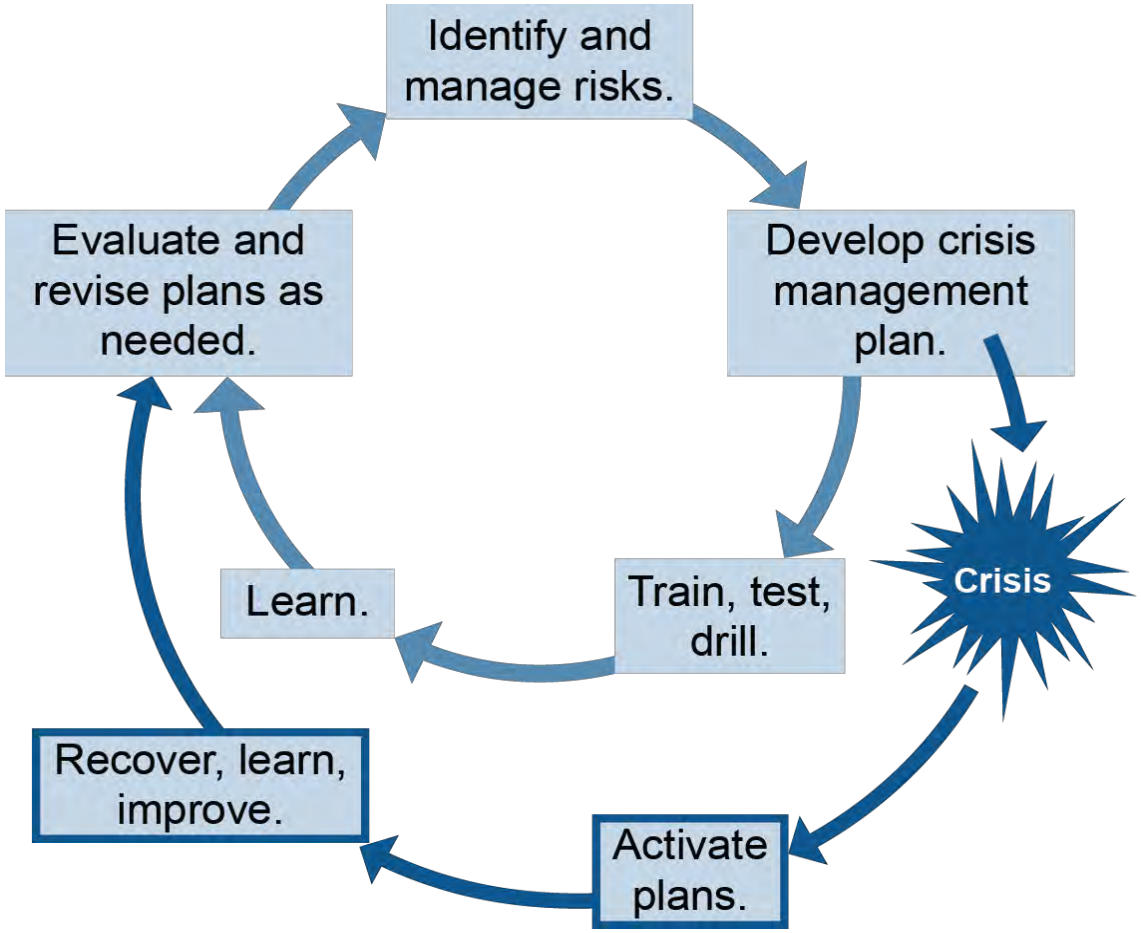
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Common Risk Management Plans

Emergency preparedness	Business continuity plan
Emergency response planning and training	Continuation of critical business processes
Securing employee health and safety	Securing and supporting necessary human resources

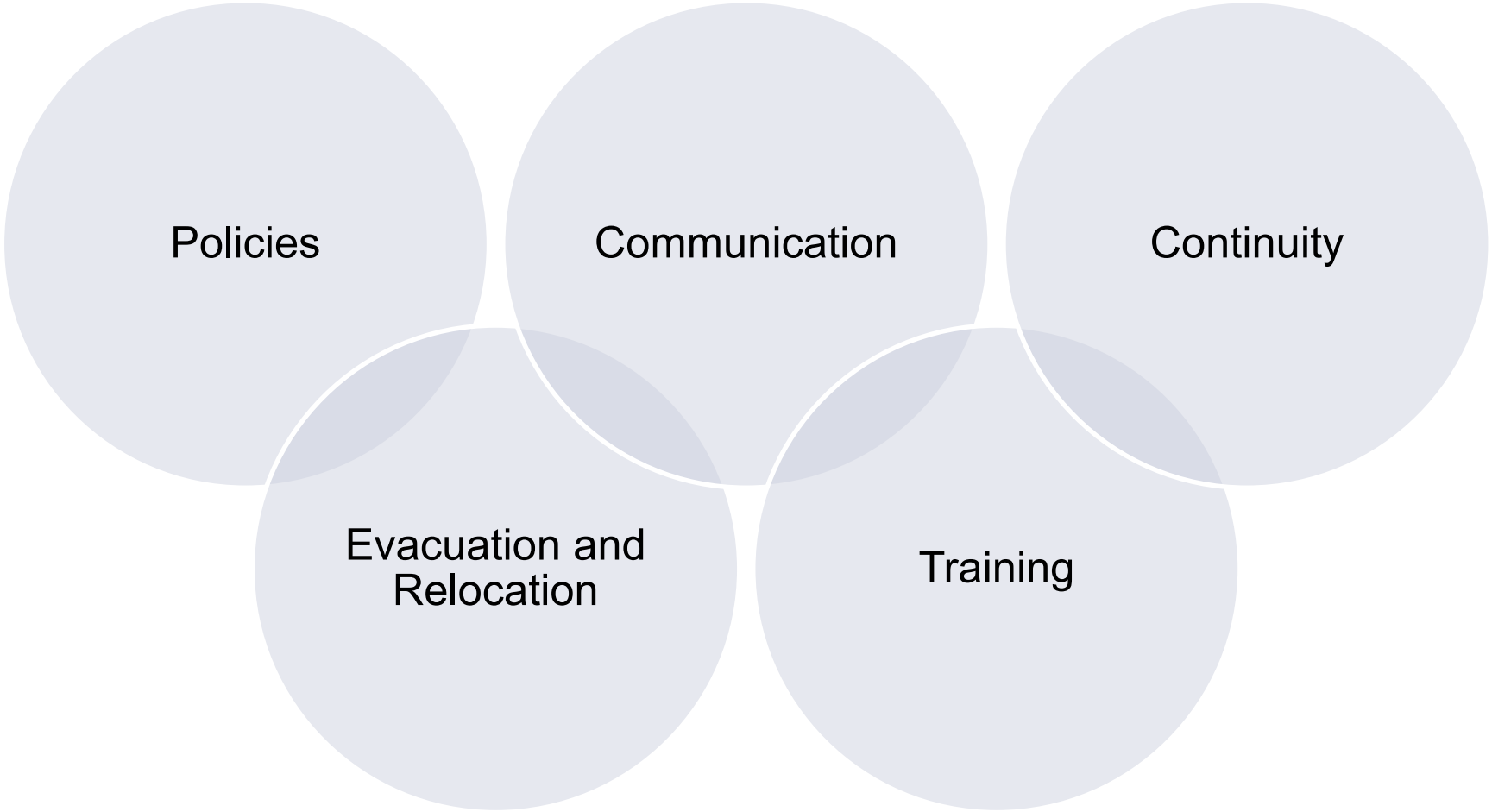
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Crisis Management Process



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Contingency Plans



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Managing Workplace Risk

Security threats	• Cyber threats • Physical security
Illness and injury	• Physical • Chemical • Biological
Drug use	• Illegal or legal drugs or alcohol • Before, during, or after working hours

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Risk Management

Step 4: Evaluate.

- Increase transparency and accountability.
- Confirm compliance.
- Assess effectiveness of individual strategies.
- Assess effectiveness of organization's risk management framework.
- Continually improve risk management skills.

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Risk Management

Step 4: Evaluate.

- Conduct debriefs and incident investigations.
- Facilitate and investigate whistleblowing charges (and prevent retaliation).
- Conduct audits.
  - Health and safety
  - Compliance
  - Process

“A crisis is a terrible thing to waste.”

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Quality Assurance and Continuous Improvement

Quality Assurance (QA)

- Helps to ensure that work is performed according to standards and that processes are used correctly and completely.
- Considers proactive, preventive, predictive, and preemptive actions.

Continuous Improvement

- Equates to organizational approaches to improve and maintain the quality of risk management processes.

Risk management is not static; it is a continuous activity. Quality assurance and continuous improvement help an organization remain vigilant.

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Discussion

The HR department has received several anonymous complaints about certain unethical behaviors of a high-level leader. These complaints have caught the HR director's attention.

This leader has been working for the company for more than 15 years. He started as a front-line assembly worker. His reputation as a generous and kind leader is well known throughout the company.

The complaints do not match the HR director's general impression of this leader. The HR director decides to investigate the issue and sets up an individual meeting with the leader to find out what has been truly going on.

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Discussion

At first, the leader is honest and open to discussion. It turns out that the leader didn't engage in the unethical behaviors on purpose. In fact, he didn't realize that those past behaviors were considered inappropriate, unethical, or a form of harassment until the HR director pointed this out.

However, the leader does not receive the feedback well and becomes very emotional and defensive toward the end of the meeting when the HR director starts to touch on issues related to his personal integrity. He even expresses his intention to leave the organization because he doesn't see himself fitting in anymore.

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Discussion

- How should the HR director have prepared for this meeting?
- How should the HR director respond to the leader's reaction and statement about leaving the company?
- If the leader chooses to stay, what further actions should the HR director take?

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Functional Area #14: Corporate Social Responsibility

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Evolution of CSR

- CSR includes a **broader range of a decision or action's effects** on a **broader field of stakeholders.**
- Attention to CSR has moved **from the corporate periphery to center stage.**
- Integrated into **organizational mission** and **core business strategies.**

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Triple Bottom Line

	Economic	Environmental	Social
Typical Measures	Sales, profits, ROI Taxes paid Monetary flows Jobs created Supplier relations	Pollutants emitted Carbon footprint Recycling and reuse Water/energy use Product impacts	Health/safety record Community impacts Human rights; privacy Product responsibility Employee relations
	Total	**Total**	**Total**

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Social Audit Areas

- Ethics
- Staffing
- Environment
- Human rights
- Community
- Society
- Compliance

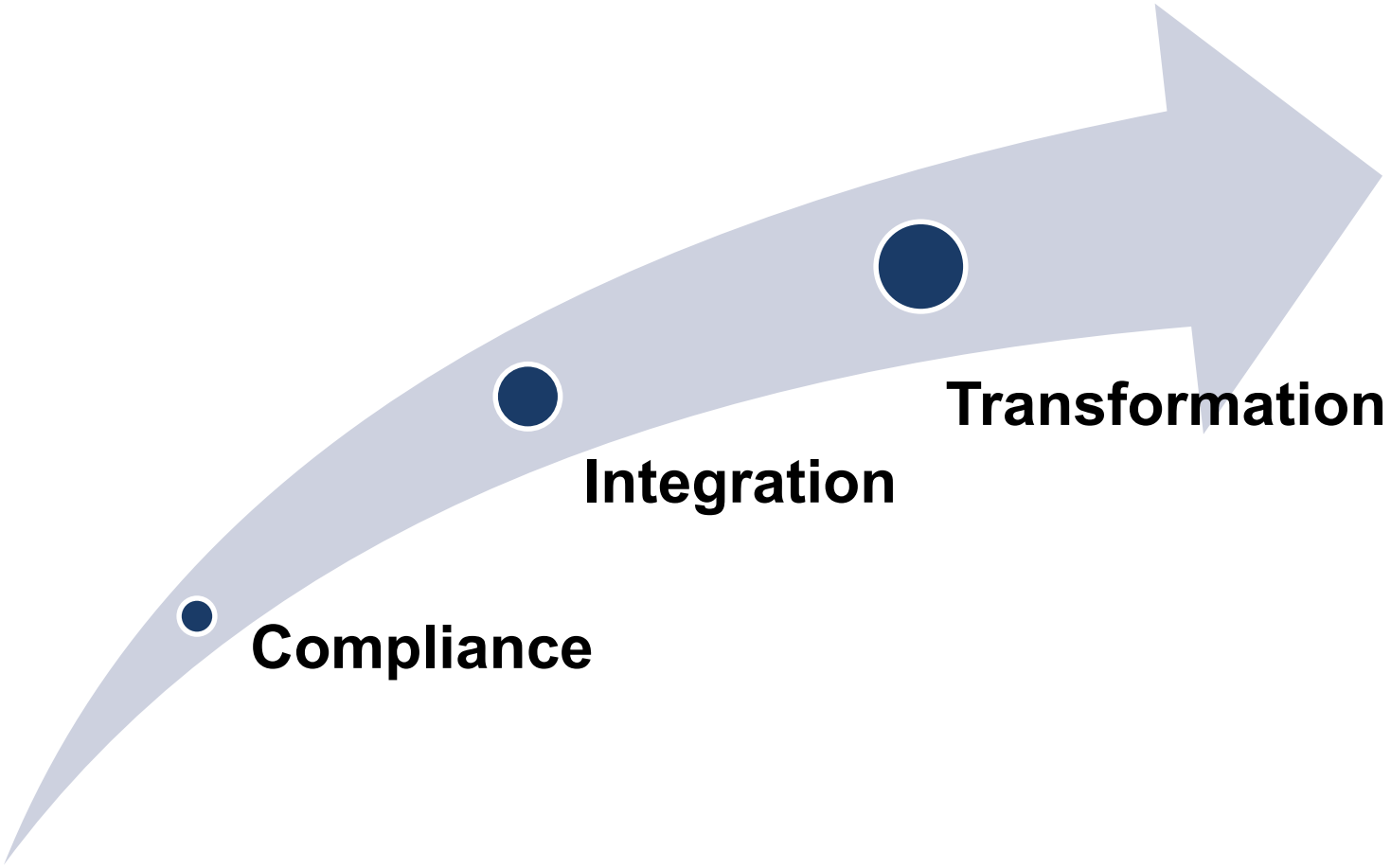
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Forces Shaping Today's CSR

Technology	• Corporate actions are more knowable. • CSR impacts are more measurable.
Environmental concerns	• Increased sustainability regulations and requirements. • Increased sustainability opportunities.
Economic pressures	• Bigger payback potential for sustainability efforts. • Enhanced value of CSR to employees.
Sociopolitical forces	• Increased pressures from civil and social rights groups. • Rapidly evolving diversity and environmental concerns.

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CSR Maturity Curve



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CSR and HR

HR has the opportunity to become a CSR resource for corporate leaders.

Key opportunity areas:

- Culture change
- Corporate strategy
- Organization effectiveness
- Human capital development

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Compliance vs. Ethics

Compliance

- Being in accordance with all national, federal, regional, or local laws, regulations, and government authority requirements for all the nations in which an organization operates
- Focuses on fulfilling the technical requirements of regulations

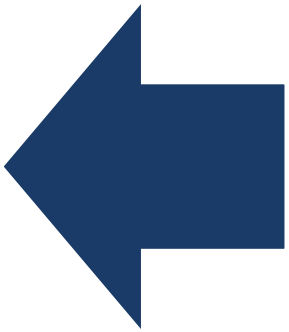
Ethics

- A set of behavioral guidelines that an organization expects all of its directors, managers, and employees to follow to ensure appropriate moral and ethical business standards
- Focuses on acting according to "core ethical beliefs and convictions"

Corporate ethical issues can overlap with compliance issues.

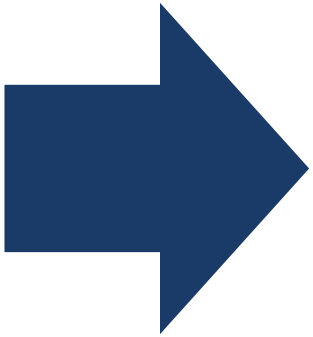
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Ethical Universalism vs. Cultural Relativism



Ethical universalism

Fundamental principles apply across all cultures, without regard to local ethical norms.



Cultural relativism

Ethical behavior is determined by local culture, laws, and business practices.

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Supply Chain Responsibilities

Ethical supply chain behavior	=	Better products More satisfied customers More sustainable working communities that support the growth of business

Areas of concern:

- Workplace safety
- Child labor
- Sustainability

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Governance

System of rules and processes an organization puts in place to ensure compliance with:

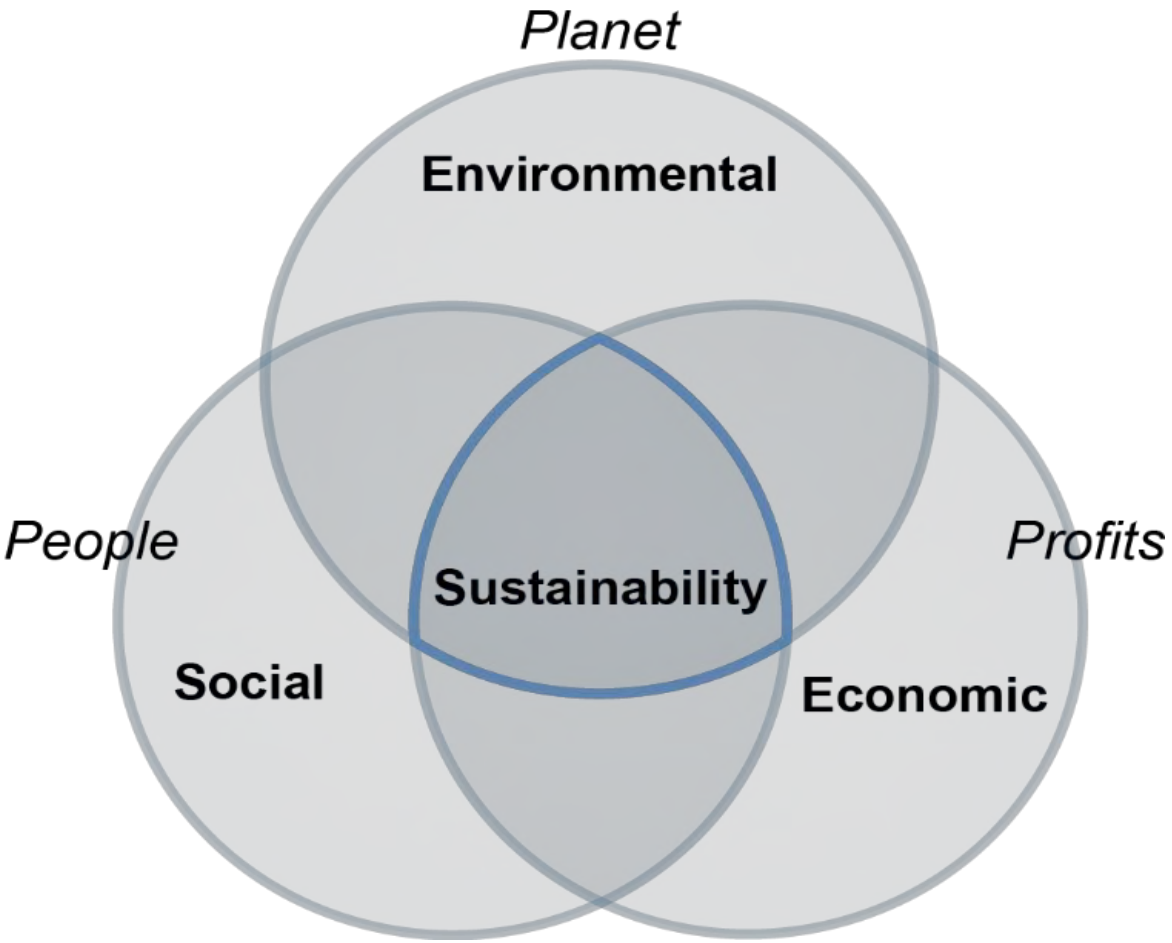
- Local and international laws.
- Accounting rules.
- Ethical norms.
- Environmental and social codes of conduct.



When an organization lacks good governance and fails to recognize and respond to ethical issues, its stakeholders may perform that task for it, to its detriment.

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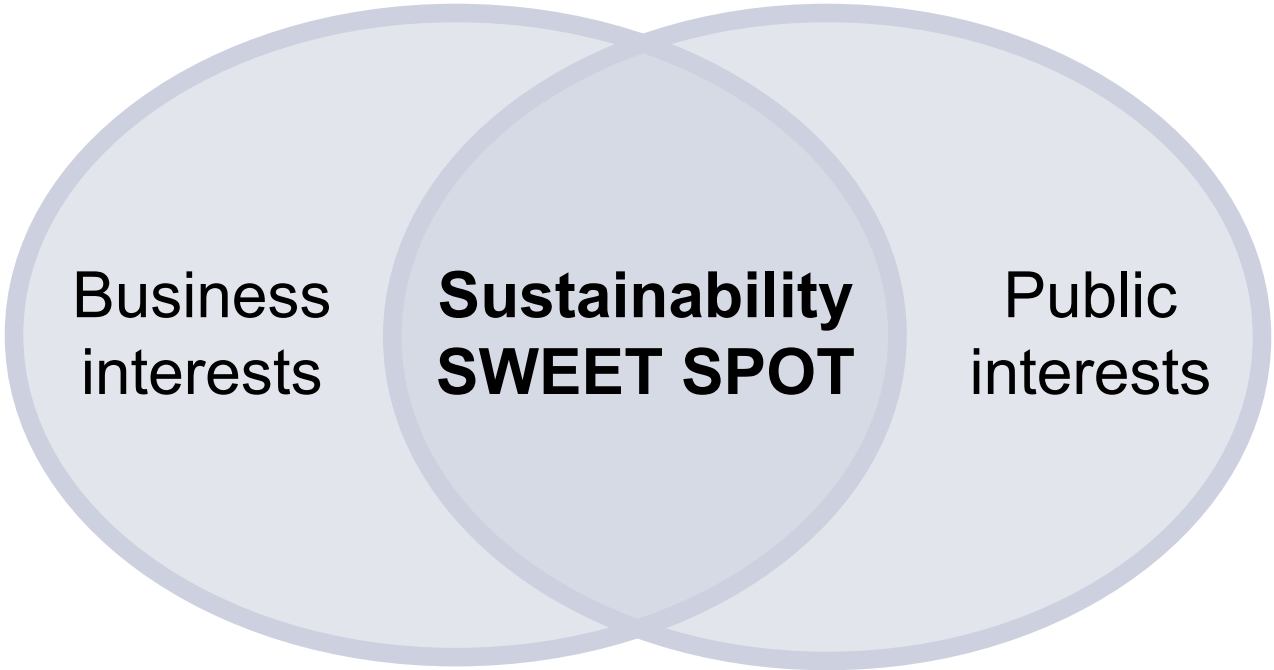
Three Spheres of Sustainability



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Sustainability Sweet Spot

Where sustainability becomes an engine of innovation and a way to identify business opportunities…



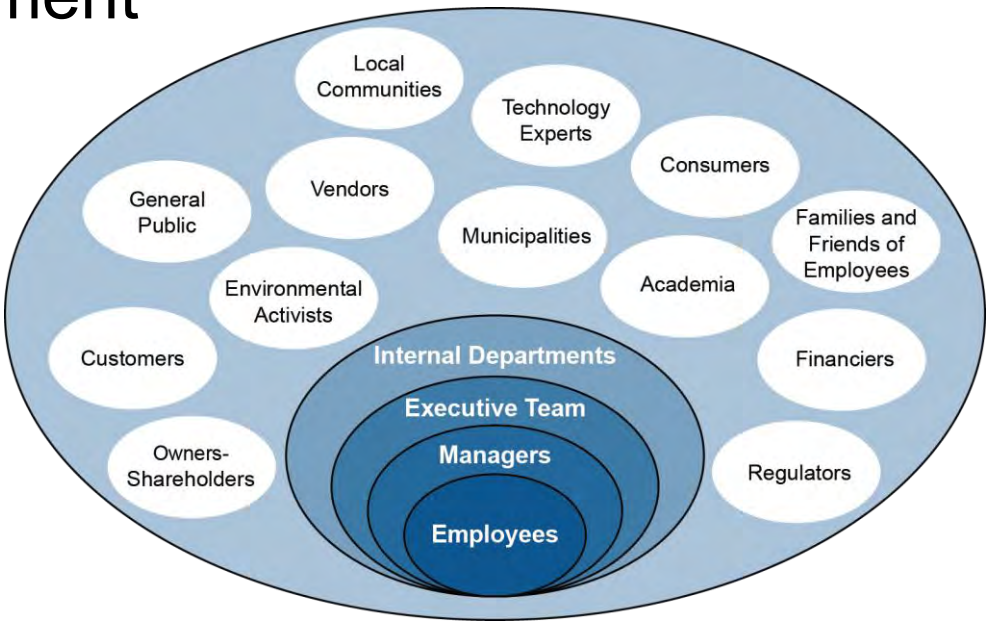
…generating new products, processes, markets, and business models.

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Stakeholders

Sustainability:

- Expands how an organization interacts with stakeholders.
- Seeks out internal and external stakeholder input through engagement opportunities and strategic social partnerships.



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OECD Guidelines

OECD Guidelines

- Established by OECD's member governments in 1976.
- Voluntary guidelines based on ILO Conventions.
- Cover:
  - Disclosure
  - Human rights
  - Employment and industrial relations
  - Environment
  - Combating bribery, bribe solicitation, and extortion
  - Consumer interests
  - Science and technology
  - Competition
  - Taxation

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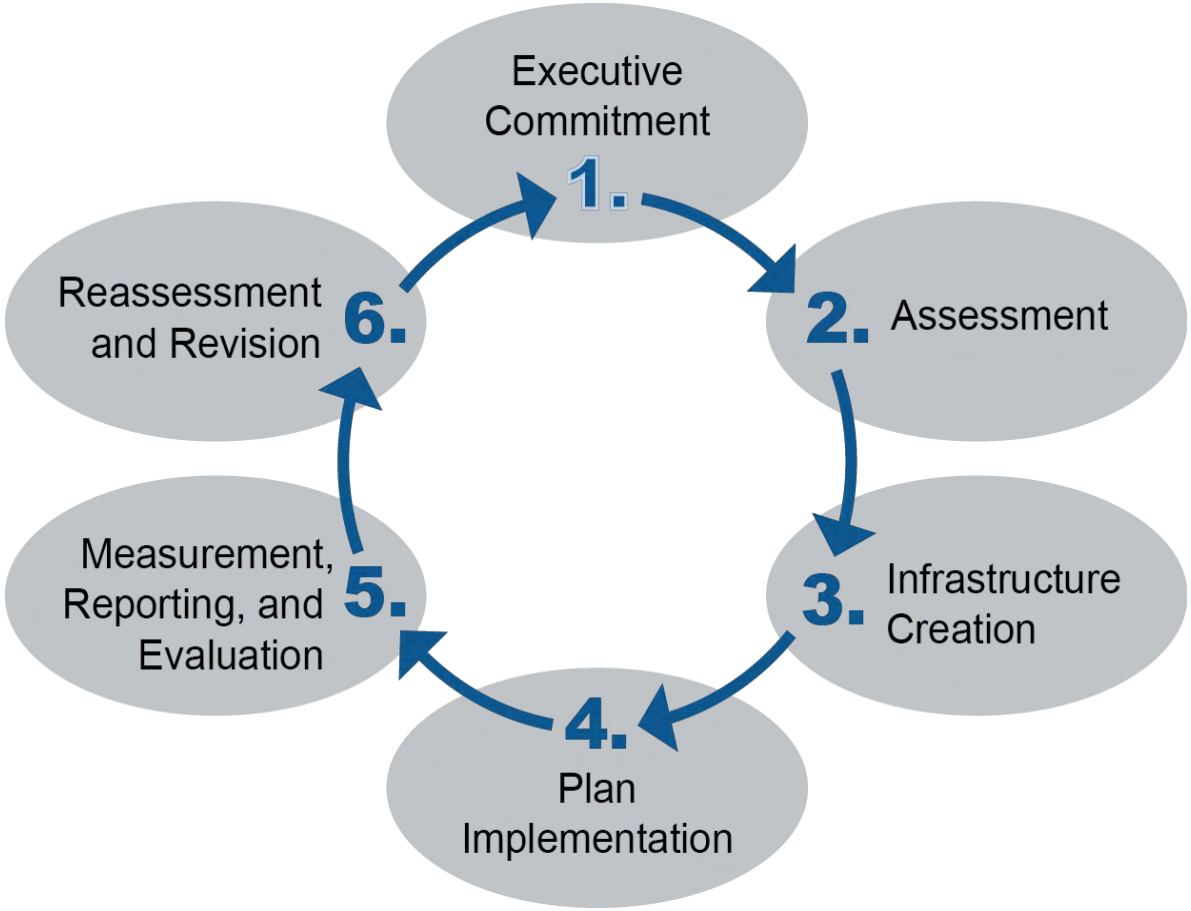
GRI Standards Reporting Guidelines

GRI Standards

- Universally accepted standard for reporting results of sustainability programs.
- Adoption improves transparency in reporting results to stakeholders and enables meaningful and consistent comparisons of organizations' sustainability performance.
- Cover economic, environmental, and social topics.

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CSR Strategic Process



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CSR Strategy: Executive Commitment

Areas of CSR Value Creation	
Growth	• Composition of business portfolio • Innovation and new products • Reaching new customers and markets
Returns on capital	• Green sales and marketing • Sustainable value chains • Sustainable operations
Risk management	• Operational risk management • Reputation management • Regulatory management

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CSR Strategy: Assessment

Purpose:

- Provide a detailed picture of where the organization is now.
- Visualize the direction in which the organization can go.

Process:

- Review organization's systems and procedures.
- Gather input from internal and external stakeholders.

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CSR Strategy: Infrastructure Creation

Questions to answer:

- Will there be a single head of CSR?
- Will there be a separate sustainability department?
- Will HR spearhead strategic implementation?
- How will data be collected and evaluated?
- Who will organize and administer the effort? Will outside consultants be needed?

For a global organization:

- Will there be local departments, divisions, or individuals responsible for local efforts?
- How will these be coordinated with global goals and initiatives?

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CSR Strategy: Implementation

Key tasks:

- Set the strategy.
- Set priorities and objectives:
  - How will intermediate, tactical steps lead to long-term objectives?
  - How will results be measured?
  - Who is accountable?
- Implement the action plan created.

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Implementing a Compliance Program

Key Components

- Organizational leadership and culture
- Training and education
- Disciplinary and preventive measures
- Reporting and investigation
- Monitoring, auditing, and evaluating program effectiveness

Compliance programs ensure that codes of conduct are understood and applied to issues as they arise.

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CSR Strategy: Evaluation

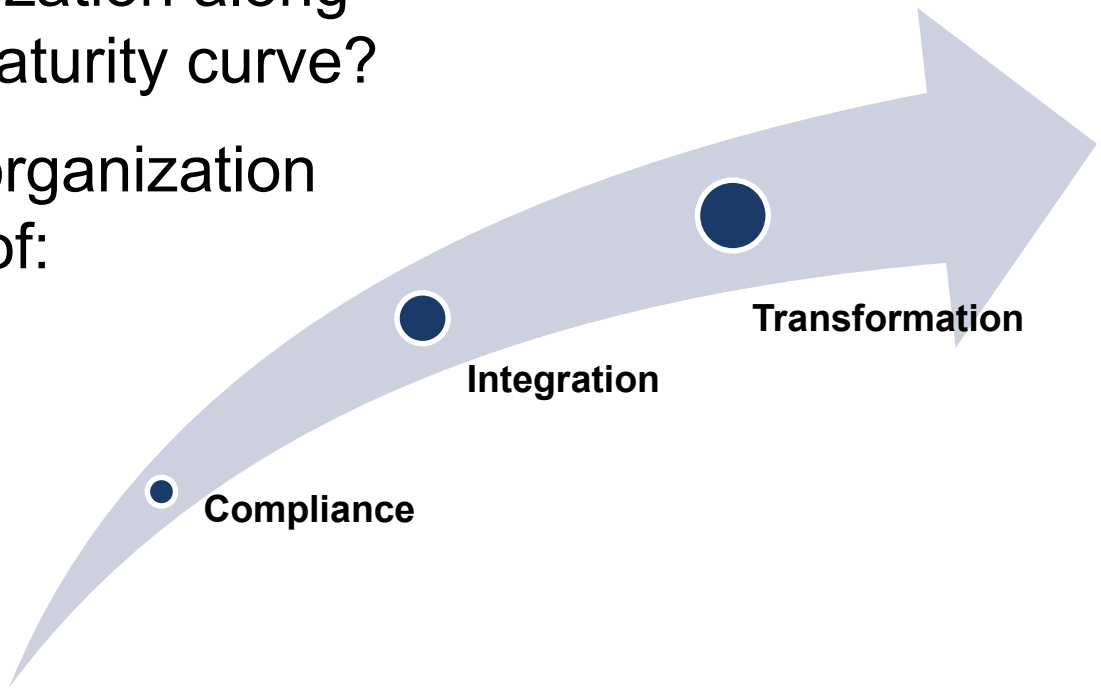
- Use GRI Standards criteria.
- Ensure that all objectives have corresponding metrics.
- Ensure that measurement and evaluation are keyed to specific goals and objectives.
- Systems must be in place for:
  - Reporting and evaluating.
  - Data sharing with marketing and other areas that can profitably leverage the data.

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CSR Strategy: Reassessment and Revision

Based on evaluation of results…

- Revise tactics and strategic goals.
- Where is the organization along the sustainability maturity curve?
- Provide the entire organization with a clear sense of:
  - — Progress achieved.
  - — Victories won.
  - — Next steps needed.



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Corporate Philanthropy

- Charitable donations
- Foundations
- Strategic partnerships with nonprofits
- Custom (owned) entity

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Employee Volunteerism

Levels of corporate involvement



Types of benefits:

- Individual
- Team
- Organizational
- Business

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Discussion

An automobile manufacturer has a reputation for being employee-friendly, charitable, and innovative. It is also consistently praised for its high profit margins and efficient operating model. The corporate office is located in a technologically robust city with strict ecofriendly regulations; it is a community that is unforgiving to socially unconscious companies.

Because of recent increases in revenue, the CEO seeks investment opportunities and settles on one of the company's suppliers abroad. The supplier has been struggling financially, but the CEO believes the company will be able to leverage the supplier's existing resources and generate additional revenue.

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Discussion

The CEO informs the company's leadership of the intent to purchase the supplier. This surprises the CHRO, because the supplier has been accused of committing human rights violations and damaging the environment in its home country. In fact, the company has been fortunate to have avoided negative attention from the public about this relationship. The CHRO is extremely concerned about the potential negative attention this transaction could create.

The CHRO e-mails these concerns to the CEO and suggests that the company should stop using the supplier altogether and partner with a supplier that is socially conscious. However, the CEO responds by stating that the purchase will positively impact the company's bottom line, and nothing else matters.

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Discussion

How should the CHRO respond to the CEO's statement that the purchase will have a positive impact on the company's bottom line?

A. Agree, since the purchase will most likely increase the company's revenue by leveraging the supplier's customers and strategic partnerships.
B. Agree, since the purchase will most likely strengthen the company's future value to all of its stakeholders.
C. Send an e-mail reply and present the concept of the triple bottom line to the CEO.
D. Ask that a working group be implemented to analyze the possible effects of the purchase.

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Feedback

D is the correct answer. Assembling a working group to analyze the purchase looks at the deal in its entirety, not just from an economic perspective. It demonstrates the Leadership and Navigation, Consultation, and Communication competencies.

A focuses only on the economic component of the triple bottom line and ignores the values and risks associated with the environmental and social components.

B is incorrect, as the purchase would probably produce only short-term and not sustainable benefit to the company.

While **C** educates the CEO about the triple bottom line, it does not apply the concept to this choice.

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Discussion

What ethical argument should the CHRO make for the company withdrawing from purchasing the supplier and seeking another supplier?

A. It would help avoid negative publicity and potential lawsuits.
B. It would help avoid potential strikes and disruptions to the supply chain.
C. Building a partnership with a supplier that has similar ethical policies would lead to better products and services.
D. It would allow for better products, more satisfied customers, and working communities that support the growth of the company.

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Feedback

D is the correct response. Creating an ethical supply chain will lead to better products, more satisfied customers, and communities that support the growth of the company. This demonstrates the Ethical Practice competency.

A and **B** are economic, not ethical, arguments. **A** seeks to manage risks from negative publicity and potential lawsuits; **B** seeks to avoid costs associated with disruptions to productivity.

While **C** mentions better products and services, it fails to mention the other possible benefits.

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Functional Area #15: U.S. Employment Law and Regulations

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Sources of Law

- The Constitution
- Statutes
- Regulations
- Agency guidelines
- Executive orders
- Common law

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Legal Compliance Essentials

- Policies, procedures, training
- Workplace posters
- New-employee orientation
- Workers' compensation insurance
- Proper tax withholding
- Paychecks delivered in accordance with law
- Compliance training
- Organizational code of conduct
- Compliance hotline
- Provisions for reporting or participation in investigation of discriminatory employment practices

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Legal Services and Risk Mitigation

Securing appropriate legal counsel and employment practices liability insurance (EPLI) is prudent.

Legal Services

HR needs to:

- Understand relevant employment law and the potential implications of noncompliance.
- Recognize when involvement of legal counsel may be necessary.

EPLI

- Protects against the risk of heavy financial losses resulting from employment claims and lawsuits.
- Must be carefully considered and reviewed to ensure that it provides the level of protection needed.

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HR Audits and Compliance Checklists

- Checklists help to prepare for an HR compliance audit (internal or external).
- An organization may develop its own checklist or use or adapt ones from administrative agencies.



Administrative agencies may be more or less rigorous during a compliance audit than what appears on a HR checklist.

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Typical Steps in Employment Employment Lawsuits

- Notification
- Answering complaint
- Scheduling conferences
- Discovery process
- Motion to dismiss
- Summary judgment
- Pretrial and trial

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Equal Opportunity

Laws require employment decisions to be job- and business-related and not made on the basis of:

- Race.
- Sex (including pregnancy).
- Ethnicity.
- National origin.
- Citizenship.
- Religion.
- Age.
- Color.
- Military/veteran status.
- Genetic information.
- FMLA entitlement.
- Disability status.
- Other factors.

“Protected classes” describes people who are covered under a federal, state, or local antidiscrimination law.

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Types of Discrimination

Disparate treatment

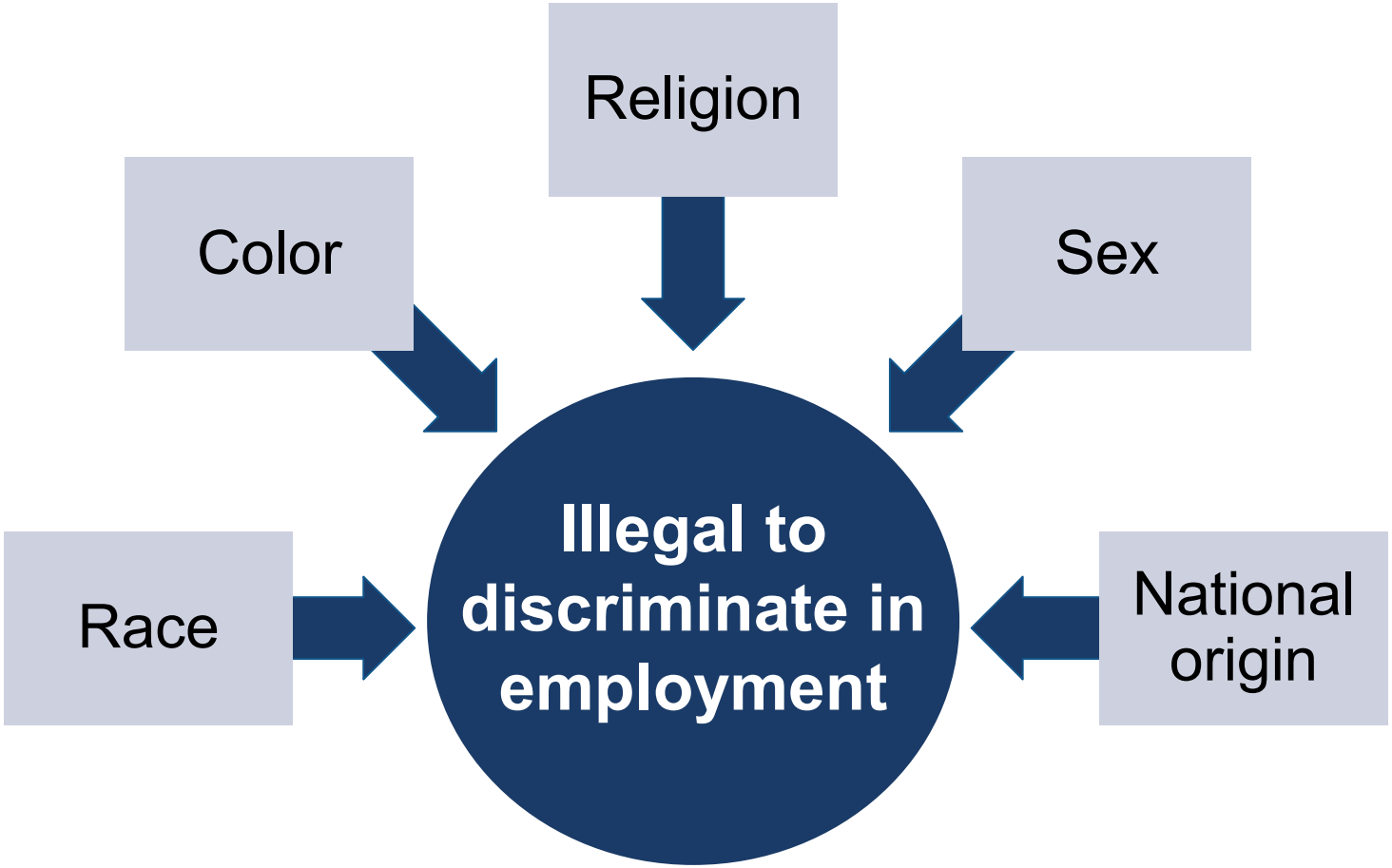
Direct discrimination that treats protected classes differently from other applicants or employees

Disparate (adverse) impact

Indirect discrimination that results when a policy that appears to be neutral has a discriminatory effect

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Title VII of the Civil Rights Act of 1964



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Title VII Protections

Specific provisions apply to:

- Recruiting, hiring, and advancement.
- Segregation and classification of employees.
- Harassment/hostile work environment.
- Compensation.
- Other terms, conditions, and privileges of employment.

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Title VII Exceptions

Some exceptions include:

- Work-related requirements
- Bona fide seniority systems
- Bona fide occupational qualifications (BFOQs)
- Affirmative action plans

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Key Title VII Amendments

Equal Employment Opportunity Act

Gives the EEOC authority to "back up" its administrative findings and conduct its own enforcement litigation

Pregnancy Discrimination Act (PDA)

Prohibits discrimination on the basis of pregnancy, childbirth, or related medical conditions; requires employers to treat pregnancy the same as any other temporary disability

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Uniform Guidelines on Employee Selection Procedures

Assists employers in complying with Title VII, Executive Order 11246, and other EEO requirements.

Covers all aspects of the selection process.

Prohibits selection procedures that have adverse impact on protected classes.

Adverse impact occurs when the rate for a protected class is less than 80% of the rate for the group with the highest selection rate (also known as the 80% or four-fifths rule).

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Key Discrimination Cases

Griggs v. Duke Power (1971)

- Sets the standard for determining whether discrimination based on disparate impact exists.
- Practices, procedures, or tests that appear neutral on their face, and even neutral in their intent, and that result in a discriminatory effect on a protected class are illegal.

Phillips v. Martin Marietta Corporation (1971)

- Applied the sex discrimination provisions of Title VII of the Civil Rights Act of 1964 to employment decisions.
- Prohibits an employer (in the absence of business necessity) from refusing to hire women with preschool-aged children while hiring men with such children.

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Civil Rights Act of 1991

- Allows jury trials when a plaintiff seeks compensatory or punitive damages.
- Compensatory damages are awarded to make an injured person “whole.”
- Punitive damages (exemplary damages) are awarded when the defendant’s willful acts were malicious, violent, oppressive, fraudulent, wanton, or grossly reckless.
- Under federal law, punitive damages are not possible against a governmental unit or agency (but may be available under state law).

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Age Discrimination in Employment Act (ADEA)

ADEA prohibits:

- Employment discrimination against persons age 40 and over
- Mandatory retirement based on age (with few limited exceptions)

ADEA covers:

- Employers with 20 or more employees
- Unions with 25 or more members
- Employment agencies and apprenticeship and training programs

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ADEA Exceptions and OWBPA Amendment

- Age can be a BFOQ if necessary for the normal operation of the business.
- Other exceptions can occur when:
  - The organization has a genuine seniority or benefit plan.
  - The employer disciplines or fires for good cause.
  - The employee is a top executive or policy maker.

The Older Workers Benefit Protection Act (OWBPA) amended the ADEA to prohibit discrimination in employee benefits and waivers of claims.

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Americans with Disabilities Act (ADA)

Prohibits discrimination against qualified individuals with disabilities.

Applies to employers with 15 or more employees, employment agencies, labor organizations, and joint labor-management committees.

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ADA Terms

Qualified

- Has the requisite skills, experience, education, licenses, etc.
- Can perform the essential functions of the job, either with or without reasonable accommodation

Disability

- Has an impairment that substantially limits one or more major life activities
- Has a record of such an impairment
- Is regarded as having such an impairment

Essential functions

- Primary job duties that a qualified individual must be able to perform, with or without accommodation

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ADA Amendments Act (ADAAA) of 2008

Retains the basic definition of disability contained in the ADA but expands interpretation.

Makes it easier to meet the definition of disability.

Includes nine rules of construction.

Identifies several impairments that virtually always meet the definition of disability.

Expands the ADA list of major life activities.

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Reasonable Accommodation

Modifying or adjusting a job application process, a work environment, or the circumstances under which a job is usually performed to enable a qualified individual with a disability to be considered for the job and perform its essential functions

- Involves an interactive process between the employer and the employee.
- Does not require employers to provide reasonable accommodation but to give consideration for the reasonableness of the accommodation.

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Workplace Harassment

According to the EEOC, harassment is a form of employment discrimination that violates Title VII of the Civil Rights Act of 1964 and ADEA, ADA, EPA, and GINA.

Harassment becomes unlawful:

- When enduring offensive conduct becomes a condition of continued employment.
- When the conduct is severe or pervasive enough to create a work environment that a reasonable person would consider intimidating, hostile, or abusive.
- When an individual is harassed in retaliation for filing a discrimination charge, testifying, or participating in any way in an investigation, proceeding, or lawsuit.

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Types of Sexual Harassment

Quid pro quo	Employee must give in to sexual demands or forfeit an economic benefit (job or raise).
Hostile environment	Sexual or other discriminatory conduct creates a threatening or abusive work environment.

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Key Sexual Harassment Cases



- Two separate U.S. Supreme Court rulings distinguishing between supervisor harassment that results in tangible employment action (e.g., discharge, failure to promote, demotion) and supervisor harassment that does not.
- When harassment results in a tangible adverse employment action, the employer is always liable.

  Example: Vicarious liability

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Fair Workplace Recommendations

- ✓ Include sexual orientation in nondiscrimination policies.
- ✓ Provide training.
- ✓ Prohibit and prevent harassment of lesbian, gay, bisexual, transgender employees.
- ✓ Recognize organizations representing interests of lesbian, gay, bisexual, transgender employees.
- ✓ Refer to “sexual orientation” rather than “sexual preference.”

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Harassment Policy/Prevention

- ✓ Have a written policy with a clear definition of harassment and a statement that it will not be tolerated.
- ✓ Establish a complaint procedure.
- ✓ Provide training and education.
- ✓ Investigate every complaint.
- ✓ Discipline if necessary.
- ✓ Communicate via variety of methods to management and employees.

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Fair Labor Standards Act (FLSA)

Establishes minimum wage, overtime pay, youth employment, and record-keeping standards affecting full- and part-time workers in the private sector and in federal, state, and local governments

Applies to:

- Employers with at least $500,000 in annual dollar volume of business (with limited exceptions).
- Organizations with employees who engage in interstate commerce or the production of goods for interstate commerce.

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IRS Independent Contractor Guidance

Behavioral control	Financial control	Relationship of the parties

Under FLSA, an employer has no ongoing obligations to self-employed independent contractors.

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Exempt and Nonexempt Employees

Type of Employee	Description
Exempt	• Excluded from minimum wage and overtime pay requirements of the law. • Must work in a bona fide manner and meet requirements for: — Primary (exempt) duties. — Salary compensation (as a uniform amount). — Minimum salary.
Nonexempt	Not excluded from minimum wage requirements and entitled to overtime. This includes blue-collar workers, no matter their compensation level, as well as veterans in blue-collar jobs.

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"White-Collar" Exemptions

- "White-collar" exemptions include EAP employees and computer and outside sales positions.
- Employees who meet requirements of exemption tests in addition to minimum salary and salary basis tests are exempt from overtime pay.

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Improper Deductions and Safe Harbor

Improper Deductions

- Employers can lose the exemption if they did not intend to pay on a salary basis.
- Regulations specify several factors to identify a practice of making improper deductions.
- Improper deductions that are either isolated or inadvertent are forgiven if the employer reimburses the employees.

Safe Harbor

"Safe harbor" exists if:

- The employer has a clearly communicated policy prohibiting improper pay deductions.
- Employees are reimbursed for any improper deductions.
- The organization makes a good-faith effort to comply in the future.

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FLSA Overtime Pay Provisions

Sets rate of overtime pay (1.5 times regular pay after 40 hours worked).

Sets workweek as any fixed, recurring period of 168 consecutive hours (7 days × 24 hours).

Requires overtime on time worked, not time compensated.

Requires overtime to be paid in cash, except for public-sector employees. (Presently, compensatory time is not allowed for private-sector nonexempt employees.)

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Other FLSA Regulations

Child labor provisions	Restricts the hours and conditions of employment for minors
Minimum wage	Requires employers to pay covered nonexempt employees at least the federal minimum wage for all hours worked up to 40 in a workweek
Other administrative concerns	Other issues such as enforcement, claims investigations, penalties, and what to do when state laws differ from federal regulations

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Portal-to-Portal Act

- Amends FLSA and defines additional rules for hours worked.
- Provides guidelines on:
  - On-call/standby time.
  - Preparatory/concluding activities.
  - Waiting time.
  - Meals and breaks.
  - Travel time.
  - Training time.

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Equal Pay Act (EPA)

Prohibits unequal pay for equal or "substantially equal" work performed by men and women (with limited exceptions).

- Skills
- Effort
- Responsibility
- Working conditions

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Employee Retirement Income Security Act (ERISA)

- Establishes minimum standards for retirement plans.
- Plans must conform to the Internal Revenue Code's requirements and ERISA to receive tax advantages.
- Sets up the Pension Benefit Guaranty Corporation (PBGC).
- Rules cover:
  - Fiduciary duties.
  - Eligibility requirements.
  - Vesting requirements.
  - Communication requirements.
  - Reporting requirements.

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Sarbanes-Oxley Act (SOX)

Defined contribution plans

- Requires plan administrators to provide at least 30-day notice of blackout period (of more than three consecutive business days).
- Places restrictions on directors or executive officers from trading of company stock.
- 30-day blackout notice must be in writing and clearly communicated.

Whistleblower provisions

Prohibits any adverse employment action against employees because of protected whistleblowing activities.

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Lilly Ledbetter Fair Pay Act

- Overturned the 2007 U.S. Supreme Court decision *Ledbetter v. Goodyear Tire and Rubber Company.*
- States that the statute of limitations on pay discrimination lawsuits resets as each allegedly discriminatory paycheck is issued.
- Proactive organizations will identify and remedy any potentially discriminatory pay practices.

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Consolidated Omnibus Budget Reconciliation Act (COBRA)

Provides continuous group medical coverage after a qualifying event.

Type of event determines the length of coverage, generally 18 or 36 months.

Employer can charge actual cost plus a 2% administrative fee.

Applies to employers who provide health-care benefits to 20 or more employees.

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COBRA Coverage Amendments

Patient Protection and Affordable Care Act (PPACA)

Generally requires group health plans to provide coverage to dependent children up to age 26.

Health Insurance Portability and Accountability Act (HIPAA)

Amended continuation coverage rules related to:

- Disability extension.
- Pre-existing conditions.
- Definition of qualified beneficiary.

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Family and Medical Leave Act (FMLA)

- Covers private employers that have employed 50 or more employees for 20 or more workweeks in current or preceding year.
- Employee must have worked at least 12 months (total within last seven years) for employer, have worked 1,250 hours in past year, and work at site within 75 miles of which 50 or more employees work.
- Provides up to 12 workweeks of unpaid, job-protected leave for incapacity due to pregnancy; prenatal medical care; childbirth; child care following birth or placement for adoption or foster care; serious health condition of a child, spouse, parent, or the employee; for obligations arising from military service.

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FMLA Regulations

Department of Labor regulations pertaining to:

- Absence of a legal or biological parent-child relationship.
- "Spouse" definition.
- Intermittent leave.
- Medical certification.
- Fitness for duty.
- Health benefits continuation during FMLA leave and trigger for COBRA.
- Reinstatement rights.
- Modified-duty programs.
- Cost containment.
- "Serious health condition" definition.

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FMLA Expansion

According to National Defense Authorization Acts provisions:

Qualified exigency leave	FMLA leave due to spouse, son, daughter, or parent being on or called to covered active duty.	Up to 12 workweeks
Military caregiver leave	FMLA leave for an eligible employee who is spouse, son, daughter, or parent of or next of kin to covered service member with serious injury or illness.	Up to 26 workweeks during 12-month period

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Uniformed Services Employment and Reemployment Rights Act (USERRA)

Protects the employment, reemployment, and retention rights of persons who voluntarily or involuntarily serve or have served in the uniformed services

- Applies to virtually all employers, both public and private, regardless of size.
- VOW to Hire Heroes Act amended USERRA to recognize claims of a hostile work environment.

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Patient Protection and Affordable Care Act (PPACA)

- Minimum essential health coverage
- Lifetime maximum benefit limits
- Preexisting conditions
- Small employer health-care tax credit
- Preventive care
- Dependent coverage
- Uniform explanation of coverage
- Notice of material modifications
- Annual benefit limits
- State health marketplaces
- “Cadillac plan” tax

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National Federation of Independent Business v. Sebelius (2012)

U.S. Supreme Court rulings on two key PPACA provisions:

Medicaid expansion

The requirement that states choose between complying with the PPACA or losing federal funding for Medicaid was ruled unconstitutional.

Individual mandate

The individual mandate was ruled constitutional; Congress has the power to assess a tax against those who do not purchase insurance.

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Occupational Safety and Health (OSH) Act

Established the first national policy for workplace safety and health; requires employees to comply with OSHA standards and requires employers to provide safe and healthful working conditions for employees

- Covers virtually all workers in the country, with a few exceptions.
- Provisions are enforced by the Occupational Safety and Health Administration (OSHA).
- Overarching employee rights under the act are covered by the **General Duty Clause.**

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OSH Act Key Standards

Emergency Exit or Evacuation Procedures	Occupational Noise Exposure	Machine Guarding
Hazard Communication	Control of Hazardous Energy	Bloodborne Pathogens
Confined Space Entry	Personal Protective Equipment	Process Safety Management

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Drug-Free Workplace Act

Federal contractors with contracts of $100,000 or more and recipients of grants from federal government in any amount must:

- Develop a policy that maintains a drug-free workplace.
- Specify penalties for policy violations.
- Provide a copy of the policy to employees.
- Establish a drug-awareness program.

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State Drug-Free Workplace Laws and Marijuana Laws

Key questions:

If an employee uses medical marijuana, can the employee be terminated following a positive workplace drug test result?

Must an employer accommodate an employee using medical marijuana?

Do employers in states with legal recreational marijuana have to allow for marijuana use apart from participation in a recognized medical marijuana program?

Consultation with legal counsel is advisable.

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National Labor Relations Act and Amendments

National Labor Relations Act

- Intended to protect and encourage growth of union movement.
- Workers have right to organize and bargain collectively with employers.
- National Labor Relations Board (NLRB).

Labor-Management Relations Act

- Significantly amended NLRA to restrict activity and power of unions.

Labor Management Reporting and Disclosure Act

- Amended NLRA to regulate internal union affairs and the relationship between union officials and union members.

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NLRB Enforcement

The NLRB protects the self-organization rights of employees to:

- ✓ Form, join, or assist labor organizations.
- ✓ Bargain collectively through representatives of their own choosing.
- ✓ Engage in concerted activities for the purpose of collective bargaining or other mutual aid and protection.
- ✓ Refrain from any or all such activities.

The NLRB investigates charges of unfair labor practices.

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Key Cases

NLRB v. Weingarten (1975)

- Deals with the rights of union employees to have another person present during investigatory interviews (the so-called ***Weingarten* rights**).
- Person attending must be affiliated with the union, not an attorney or relative.

Lechmere, Inc. v. NLRB (1992)

- Deals with NLRA rights of employees to self-organize to form, join, or assist labor organizations; makes interfering with employees as they exercise their rights a ULP for employer.
- The NLRA confers rights only on employees, not on unions or their nonemployee organizers.

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Fair Credit Reporting Act (FCRA)

- Applicant/employee must provide written authorization before a consumer report is ordered (with limited exceptions).
- Employer must provide:
  - Written notice that a report may be used and time for a response to the report.
  - Notice if adverse action procedures are taken.
  - Certification to credit bureaus of FCRA compliance.

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FCRA Amendments

Fair and Accurate Credit Transactions Act (FACT Act)	Dodd-Frank Wall Street Reform and Consumer Protection Act
• Eliminates consent and disclosure requirements for certain third-party investigations (e.g., suspected misconduct, a violation of laws or regulations). • Includes directives aimed at uncovering and preventing incidents of identity theft or unauthorized use of the information.	• Adds notification requirements if any adverse action is taken either partly or wholly because of information in a consumer report. *Examples:* • Notice of the adverse action • Specific credit score information • Name of the consumer reporting agency or person that furnished the credit score

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Immigration Reform and Control Act (IRCA)

Prohibits discrimination on the basis of national origin or citizenship.

Establishes penalties for hiring illegal aliens.

Places burden on employers to verify an employee's identity and right to work.

Generally, documents must be unexpired.

E-Verify electronically checks the information provided by the employee on his or her Form I-9.

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Employee Polygraph Protection Act (EPPA)

- Regulates the use of polygraph tests (lie detectors).
- Allows the use of polygraph tests when:
  - The employer is the federal, state, or local government.
  - **Current employees** are under reasonable suspicion of involvement in workplace incident that results in economic loss.
  - **Prospective employees** will work in security-sensitive, drug manufacturing, or intelligence situations.
- Employer may not discharge an employee based solely on test results or refusal to test.

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Worker Adjustment and Retraining Notification (WARN) Act

Requires a minimum of 60 days' notice for:

- Plant closings.
- Mass layoffs.

Limited exceptions: faltering company, unforeseeable business circumstances, natural disaster

Requires that notice be given to:

- Affected workers or their representatives.
- State dislocated worker units.
- Local government.

Employers must check state and local laws for other criteria and "mini WARN" laws that may apply.

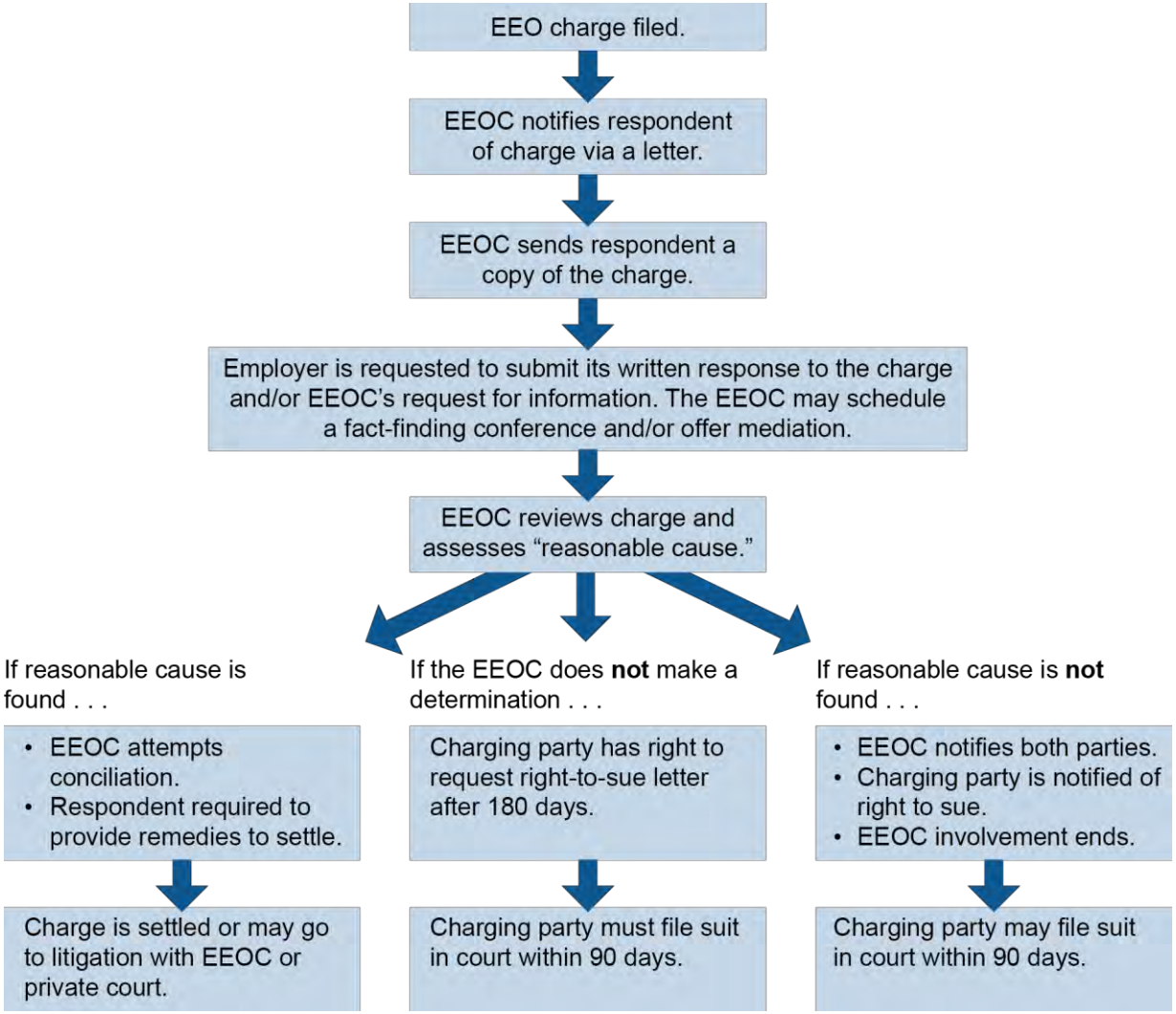
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Genetic Information Nondiscrimination Act (GINA)

- Prohibits discrimination against an individual in employment and health insurance on the basis of genetic information about the individual or a family member.
- With limited exceptions, prohibits an employer from requesting, requiring, or purchasing genetic information on the individual or a family member.

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EEOC Complaint Process



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Retaliation

Employers are prohibited from retaliating against employees engaged in "protected activities."

Examples of protected activities:

- Filing a complaint
- Threatening to file a complaint
- Refusing to obey a discriminatory or unsafe order
- Engaging in concerted activity with other employees

Examples of adverse actions:

- Firing, demoting, or disciplining an employee or treating an employee in a discriminatory manner
- Threatening action against or criticizing the employee
- Inappropriate discussions with the employee and internal or external parties

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Records Management

Federal and state statutes/regulations

Status as government contractor or subcontractor

Requirements may depend on…

Number of employees or purpose of record keeping

Industry, location, or customers

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Electronic Record Keeping

- Systems must have reasonable controls to ensure the integrity, accuracy, authenticity, and reliability of records.
- Records must be maintained in reasonable order in a safe and accessible place.
- Records must be able to be converted to paper format.
- Adequate records management practices must be in place.

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Evolving Compliance and Reporting

Employers are generally free to maintain their employment records either on paper or electronically.

However, some federal agencies impose electronic requirements.

OSHA Example

Revisions require certain employers (e.g., in high-hazard industries) to electronically submit injury and illness data for posting on the agency's website.

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Discussion

A high-potential performer is among 20 employees selected for a mentoring program. The employee is matched to a senior executive in the organization. The mentee is excited about the opportunity and, as instructed by the program guidelines, e-mails the senior executive to set up a meeting.

The mentee does not get a response from the executive but does get an e-mail from the vice president of HR indicating that the mentee is no longer part of the mentoring program. The e-mail states that the mentee did not demonstrate the core values of the organization. The example given was the "aggressive and demeaning tone of her e-mail." The mentee, upset, discusses her experience with others selected for the mentoring program.

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Discussion

One of these women says, “I think you really dodged a bullet on that one. The executive you were matched with hates women! Every female matched with him has quit, but no one does anything about his behavior.”

The mentee approaches you as part of the HR department and asks why she was removed from the program. She also shares the information gathered from the other mentee.

You have been recently promoted into the role of HR manager. You have heard about issues with females and this executive previously, but you do not know any details.

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Discussion

- How would you respond to the mentee?
- What challenges do you face in responding to the employee?
- How would you approach the vice president of HR with this information?
- What HR competencies will be useful in supporting you in this situation?

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